REN
RETIREMENT EDUCATION NETWORK

The 7 1/2 Retirement *Mistakes*

The quiet mistakes that can hide in the retirement you spent a lifetime building, and how to catch them in time.

59 1/2 62 65 67 70 73

REN FIELD GUIDE
SERIES · 2026

Contents

Read these in any order. Each chapter stands on its own.

How to Use This Book

Read these chapters in any order. Start with whichever one worries you most. Nothing here depends on your having read what came before.

That is deliberate. This book covers seven separate risks, not seven steps. They have almost nothing to do with each other mechanically, and most readers will only ever face some of them. If you and your spouse have both already claimed Social Security, most of chapter 7 describes a door that has closed, though its last section covers two that may still be open. If you are already on Medicare, chapter 3 is behind you. There is no reason to read past a risk that is not yours in order to reach one that is.

So skip freely. Go to the title that made your stomach tighten, and read that one.

Because the chapters stand alone, they repeat each other on purpose. Each defines its own terms and carries its own example, so a reader who opens at chapter 4 and never reads another page still gets the whole picture of that risk. Read straight through and you will meet the standard deduction and the difference between a marginal and an effective tax rate more than once. That is the cost of making every chapter usable on its own, and we thought it was the better trade.

Throughout, "retirement accounts" means the whole set: 401(k) plans, 403(b) plans, 457(b) plans, the federal Thrift

Savings Plan, traditional and rollover IRAs, SEP and SIMPLE IRAs, and Roth accounts where the rule reaches them. Pensions come up wherever they change the picture. Where a rule applies only to employer plans, or only to IRAs, we say so rather than leaving you to guess.

Each chapter takes one asset you earned and shows the specific mechanism by which it can be taken. That is why the tone here is calm rather than alarming. These are not failures of character. Almost every one is a trap built into how these accounts and programs work, and those traps catch careful savers as reliably as careless ones. Several of them punish people precisely for having done the responsible thing.

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What This Book Is, and What It Isn't

This book is educational. It is not financial, tax, legal, or investment advice, and nothing in it is a recommendation to buy, sell, or hold anything.

The information here is general and is correct to the best of our knowledge as of August 2026. Tax law, contribution limits, income thresholds, and retirement account rules change, sometimes in the middle of a year. Figures cited in these pages may have changed since we wrote them. Before you rely on any number in this book, confirm the current figure at irs.gov, ssa.gov, medicare.gov, or cms.gov, or check it with a qualified professional. We make no guarantee that any information in this book is complete, current, or applicable to you.

Every example, case study, dollar figure, and scenario in this book is hypothetical and is used to illustrate a concept. That includes every named individual. The people in these examples are not real. Any resemblance to an actual person or situation is coincidental. Illustrations are not predictions, and past market performance does not indicate future results. Dollar figures in examples rest on simplified assumptions about tax rates, growth, health, and family circumstances. Your own result will differ.

General information cannot account for your situation. Two people with identical account balances can face completely different right answers depending on their filing status, their state, their health, their spouse, their heirs, and their plans. A strategy that is sensible for one reader can be a costly mistake for another.

Before you act on anything in this book, discuss your specific situation with a qualified professional. Depending on what you are deciding, that may mean a licensed financial professional, a tax advisor or CPA, or an attorney. That is not a formality we are adding to protect ourselves. It is the single most important instruction in this book.

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It Could Happen to You

How a lifetime of saving comes apart, and why it almost always happens quietly.

John Huber was standing at the kitchen counter with the television on when the numbers along the bottom of the screen stopped looking like an ordinary bad day.

He called his advisor. The line was busy. He left a message, waited eleven minutes, and left another one.

John was sixty-three. He had seen this before, or thought he had. In 2000, when technology stocks came apart and then the towers came down, his account lost about a quarter of its value and he barely changed a thing. He was thirty-seven then. He had twenty-five years of paychecks still in front of him, and every one of them was going to buy shares at whatever price the market happened to be asking.

He did not have twenty-five years of paychecks in front of him now. He had none. He had taken the buyout in the spring.

John would tell you he is a careful person rather than a clever one. Thirty-two years at the same regional newspaper, writing copy and eventually editing it, and eight years at a printing company before that. He put money aside out of every paycheck for close to forty years without ever once feeling like an investor. Sarah did the same at the county school district, where she still teaches two days a week at sixty-one.

Between them they had built a little over $800,000, and it sat in five places. John's 401(k) at the paper. The 401(k) he left behind at the printing company in 1994, the one he had not opened a statement from in years. Sarah's 403(b). A rollover IRA holding what became of the plan from her job before teaching. And a joint brokerage account opened the year the last kid finished college.

The house was paid off. They did not count it. Almost nobody does.

Five accounts. Four employers. Two kinds of tax treatment. It felt like a lot of diversification.

It was not. Four of the five held roughly the same thing, which was a set of stock funds tracking much the same market. When that market fell, they fell together, in almost the same proportion, on the same day. The labels on the envelopes were different. What was inside them was not.

Sarah came into the kitchen and asked whether Michael had called back. Neither of them had slept much.

The phone rang around two. Michael apologized for the delay. He had been on the phone since six that morning and he sounded like it.

"I need to know where we are," John said.

Michael did not soften it. Across the five accounts they were down a little over $200,000. The total that had read just above $800,000 in the spring now read about $598,000. He could not promise that was the floor.

"So what do we do?"

"Honestly, I would not sell into this," Michael said. "Selling here locks the loss in. Markets have recovered from declines like this one before. I cannot tell you how long it takes, because it has been different every time."

That advice was not incompetent, and Michael was not a bad man. For a client who is thirty-seven with twenty-five years of contributions ahead, it is often exactly right. The people who sold at the bottom in 2002 and again in 2009 generally did worse than the people who did nothing.

John was not thirty-seven.

They did not sell. They also did not go on living the way they had planned to. Sarah went back to four days a week at the district, and then five. John took contract copy editing at rates he would have found insulting fifteen years earlier, and he was grateful to have it. They did not touch the accounts for six years, which is the part everyone congratulates them for. By the time the balances looked like themselves again, more time had passed than either of them had planned to give it.

They got to Italy. They did not get to Spain or France or Germany, because by then Sarah's knees had opinions about airports, and five weeks of walking was not the kind of trip they could take.

They are fine. That is worth saying plainly, because most of these stories end with people who are fine. They are not destitute. They did not lose the house. What they lost was the six years in the middle, the ones they had already spent in their imaginations, and a version of a trip that only existed while they could still walk it.

None of that happened because John and Sarah were careless. They saved for four decades. They did not chase anything and they did not panic. They took standard advice from a credentialed person who gave it in good faith.

What they did not have was a plan for what happens when a bad year arrives at the wrong moment.

Move that same year fifteen years earlier, and it is not a story at all. It is a footnote. Same market, same accounts, same people, same decisions. Different date on the calendar.

What John And Sarah Actually Owned

Look again at the number.

Eight hundred thousand dollars is not a balance. It is roughly forty Januarys of deciding to defer a raise into a plan instead of taking it home. It is the second car they kept eleven years, the kitchen they did not redo, the two funerals they flew to and the one they drove to. Neither of them ever earned six figures. They built it the slow way, one payroll deduction at a time, and every dollar of it represents something they did not spend on themselves at the time.

That is the asset. It is earned, it is finite, and it is now sitting in accounts governed by rules written for the years when they were putting money in, not the years when they will be taking it out.

This book is about the specific ways that asset gets taken from the people who earned it.

Not lost through carelessness. Taken, through mechanisms that are legal, ordinary, mostly invisible from the outside, and almost never explained to the person they are about to happen to. Some are reversible. Several have a door that closes on a specific date, after which no amount of money or regret reopens it.

Every chapter that follows is one of those mechanisms.

John and Sarah did not have a list like the one on the contents page. They had a market that fell, an advisor who answered the question he was asked, and six years they never got back.

You have the list. Start with whichever line makes you least comfortable.

Sources consulted for this chapter: S&P 500 peak-to-trough declines of 49.1 percent (March 2000 to October 2002) and 56.8 percent (October 2007 to March 2009), from index closing price history. Dollar amounts in the Huber illustration are hypothetical.

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Mistake 1. The First Five Years Decide the Next Thirty

How to tell whether a bad market would bruise your retirement or end it.

The balance on your retirement statement is not really a number. It is a compressed record of decisions you made over thirty or forty years. The raise you did not spend. The years you kept contributing when the market was ugly and it felt foolish. The job change where you rolled the old plan over instead of cashing it out, a choice most people do not make.

That is the asset this chapter is about, whatever it happens to be held in: a 401(k) still sitting with a former employer, a 403(b) from a school or a hospital, a 457 from a city or county job, the federal Thrift Savings Plan, a traditional IRA, a rollover IRA holding money from a company that no longer exists, or some combination of all of them. Where the money is held changes the menu of investments in front of you. It does not change anything in this chapter.

And this chapter is about one specific way that asset gets taken from you. Not by a crash. By the withdrawals you make during one.

Almost everyone reading this has already lived through several serious market declines and come out the other side. That experience is real, and it is also the problem, because it was earned during the part of your life that is ending, not the part that is starting.

The Day the Arithmetic Reverses

For your entire saving life, a market decline was an inconvenience with a hidden benefit. Your balance fell, which felt bad. Your next contribution bought more shares at lower prices, which was quietly good for you. Time and the next paycheck did the rest. That arrangement held for as long as money was flowing in.

The day money starts flowing out, the arithmetic reverses.

A decline is no longer something you wait out while continuing to buy. It is now something you are selling into, because the withdrawal has to come from somewhere. And here is the part that gets skipped: you are not selling dollars. You are selling shares. When the account is down 30 percent and you take out $30,000 to live on, that withdrawal requires about 43 percent more shares than the same withdrawal would have required a year earlier. One dollar divided by seventy cents is one dollar and forty-three cents.

Those shares leave permanently. When the market recovers, and historically it has, it recovers on the shares that are still in the account. The ones you spent do not come back for the ride.

That is the whole mechanism. Selling into a decline converts a temporary loss into a permanent one, share by share, and no recovery undoes it. Planners call it sequence of returns risk. Most people reach retirement having never heard the phrase, which matters, because it is the reason two people with the same balance, the same investments, and the same average return can end up in completely different places.

None of this is a personal failing. Retirement accounts were built around accumulation, and almost every default setting inside them still assumes you are adding money rather than taking it out.

What History Actually Did

Two episodes, both measured on the Dow Jones Industrial Average so the comparison stays honest.

The slow one. The Dow's pre-crisis record close was 14,164.53 on October 9, 2007. It fell to a closing low of 6,547.05 on March 9, 2009, a decline of 54 percent over seventeen months. It did not close above the 2007 record again until March 5, 2013, when it finished at 14,253.77. Very nearly five and a half years from peak to peak.

Sit with that calendar. Someone who stopped working in October 2007 at age 62 was 67 before the index got back to where it started, and that is assuming they held on and did not withdraw a dollar in the meantime. Almost nobody who retired in 2007 had that luxury. They needed income.

The fast one. The Dow closed at a record 29,551.42 on February 12, 2020, then at 18,591.93 on March 23, a fall of 37 percent in about six weeks. It recovered just as sharply. On November 24, 2020, roughly eight months after the low, it closed above 30,000 for the first time, at 30,046.24. Someone who owned a broad index fund, added nothing, and sold nothing was made whole inside the same calendar year.

Both of those are true, and the tension between them is the actual subject here. One decline took five and a half years to repair. One took eight months. Nobody knew which kind they were in while it was happening. What separated the households that came through intact was not the depth of the drop. It was whether they were forced to sell anything while it was underway.

The Number Almost Nobody Has Calculated

Here is where most treatments of this subject go wrong. They present sequence risk as a market problem. It is a market problem multiplied by a spending problem, and the spending half is the larger variable, as well as the only one you have any say over.

What follows is a hypothetical illustration created for education. Gene and Marilyn are invented. The figures are chosen to make the arithmetic *visible and are not a forecast of any market or a projection for any household.*

Gene and Marilyn are both 62. They have $650,000 between a rollover IRA and Gene's old 401(k). They own their home. They have no pension. They need about $70,000 a year from the portfolio to live the way they intend to live.

Neither of them has claimed Social Security yet. They are waiting, for reasons this book takes up in Mistake 7, on Social Security and the survivor's income floor. So for the next five years, every dollar of their income comes out of that $650,000.

Seventy thousand dollars against $650,000 is a withdrawal rate of 10.8 percent.

Now move them forward five years. At 67, both checks are on, together worth roughly $50,000 a year in this illustration. Their spending has not changed. The portfolio now has to supply about $20,000 a year instead of $70,000. Against the same $650,000 that is a withdrawal rate of 3.1 percent.

Same couple. Same house. Same spending. Same investments. The rate at which they are draining the account falls by more than two thirds on a single Tuesday.

That five-year stretch is what this chapter calls the bridge years, and it is where the risk lives. A retiree already collecting Social Security and drawing 3 percent is substantially insulated from bad markets. A 62-year-old bridging to 67 and drawing 10 percent is fully exposed. Those are opposite conclusions about the same subject, and which one applies to you depends almost entirely on where you are standing right now.

The withdrawal rate is the gross number, not the spending number

One more piece, because it is routinely left out and it makes the rate worse than people think.

Money coming out of a traditional IRA, 401(k), 403(b), 457, or the TSP is ordinary income. If Gene and Marilyn withdraw $70,000, they do not get to spend $70,000.

Work it through under 2026 federal rules, married filing jointly, no other income, no state tax in this illustration. Gross withdrawal of $70,000. Subtract the 2026 standard deduction for a married couple filing jointly, $32,200, and taxable income is $37,800. The first $24,800 is taxed at 10 percent, which is $2,480. The remaining $13,000 is taxed at 12 percent, which is $1,560. Total federal tax, $4,040. They keep $65,960.

Two different rates are worth naming, because they get confused constantly. Their marginal rate is 12 percent. That is the rate on the next dollar they withdraw. Their effective rate is $4,040 divided by $70,000, or 5.8 percent. That is the share of the whole withdrawal that goes to federal tax. Applying the marginal rate to the whole withdrawal would have predicted $8,400 of tax, more than twice the real number. The effective rate is the one that tells you what you keep.

So if they genuinely need $70,000 to live on, the gross withdrawal has to be about $74,600, which produces roughly $4,592 of federal tax and leaves them just over $70,000. That moves the withdrawal rate from 10.8 percent to 11.5 percent.

That is the number. Not what they spend. What leaves the account.

(Once Social Security starts, part of the benefit itself becomes taxable, and how much depends on the size of the withdrawals sitting alongside it. That interaction is a chapter of its own: Mistake 4, on the tax bill you are building.)

Two Versions of the Same Retirement

Now the mechanism itself, with the arithmetic on the page so you can check it.

Still hypothetical. Same invented couple. The ten annual returns below were chosen to be checkable, not to predict anything. The tables withdraw the $70,000 they actually live on rather than the $74,600 gross, to keep the return arithmetic legible. At the true gross figure every gap below is wider, not narrower.

Gene and Marilyn withdraw $70,000 at the start of each of the first five years, then $20,000 at the start of each of the next five once Social Security begins. Ten annual returns follow, and they average 6 percent. Add them up and divide by ten if you like.

The only thing that differs between the two versions below is the order the returns arrive in. Nothing else. Not the withdrawals, not the average, not the investments.

Version A. The difficult years land first.

YEAR	RETURN	WITHDRAWAL	BALANCE AFTER WITHDRAWAL	BALANCE AT YEAR END
1	-30%	$70,000	$580,000	$406,000
2	-12%	$70,000	$336,000	$295,680
3	-8%	$70,000	$225,680	$207,626
4	+20%	$70,000	$137,626	$165,151
5	+15%	$70,000	$95,151	$109,423
6	+12%	$20,000	$89,423	$100,154
7	+18%	$20,000	$80,154	$94,582
8	+10%	$20,000	$74,582	$82,040
9	+16%	$20,000	$62,040	$71,966
10	+19%	$20,000	$51,966	**$61,840**

Version B. Identical returns, reverse order.

YEAR	RETURN	WITHDRAWAL	BALANCE AFTER WITHDRAWAL	BALANCE AT YEAR END
1	+19%	$70,000	$580,000	$690,200
2	+16%	$70,000	$620,200	$719,432
3	+10%	$70,000	$649,432	$714,375
4	+18%	$70,000	$644,375	$760,363
5	+12%	$70,000	$690,363	$773,206
6	+15%	$20,000	$753,206	$866,187
7	+20%	$20,000	$846,187	$1,015,425
8	-8%	$20,000	$995,425	$915,791
9	-12%	$20,000	$895,791	$788,296
10	-30%	$20,000	$768,296	**$537,807**

Same starting balance. Same withdrawals. Same ten returns. Same 6 percent average.

Version A finishes at roughly $62,000. Version B finishes at roughly $538,000, after taking $450,000 out along the way.

Look at what happens next without assuming anything at all about future markets. The couple in Version A is 72 years old with about three years of supplemental income left in the account, even if it never loses another dollar. The couple in Version B is 72 years old with a portfolio that outlived the bridge. Nobody in Version A made a worse decision than anybody in Version B. They retired in different years.

Why the order stops mattering when nothing is coming out

Run those same ten returns with no withdrawals at all and both versions land on exactly the same number: $1,020,137. Order becomes irrelevant the moment nothing is being taken out, because multiplication does not care what sequence you multiply in.

Withdrawals are what break the symmetry.

That figure is worth a second look on its own. Ten returns averaging 6 percent turned $650,000 into $1,020,137, which is a compound growth rate of about 4.6 percent a year, not 6. An average return and a compound return are two different numbers, and the gap widens as the swings get larger. Whenever you see an average return quoted, it is worth asking which one you are looking at.

The same risk at 3 percent is a different risk

Now the limits of it, because this is where a book can genuinely mislead half its readers.

Take Version A's bad opening sequence, the one that started with three losing years, and run it against a household that is already collecting Social Security and only needs $20,000 a year from the same $650,000. That is a 3.1 percent withdrawal rate.

The balance falls to about $322,000 by the end of year three. That is a frightening statement to receive in the mail. But by year ten, having taken out $200,000 along the way, the account is back to roughly $634,000, close to where it started.

Run the same bad sequence against a household drawing $70,000 a year for all ten years, and the account is exhausted during year seven.

Same portfolio. Same market. Same order of returns. One household is bruised. The other is out of money. The variable is not the market. It is the rate.

The Honest Version of This Argument

Three things have to be said, or this chapter is selling something.

First, sequence risk cuts both ways. Version B got a good draw and ended up with more money at 72 than at 62, after a decade of withdrawals. That happens, and it happens often. The problem is not that early declines are certain. The problem is that you get exactly one draw, you do not know in advance which one it is, and the consequences are not symmetric. A good draw makes you comfortable. A bad draw changes how you live.

Second, the tables above are the extreme version on purpose. Perfectly reversed return sequences do not occur in nature, and real decades are messier and closer together than that. The illustration is built to make the mechanism visible, not to size it. In ordinary conditions the gap is smaller. In a genuinely bad opening at a high withdrawal rate, it does not need to be anywhere near that large to end a plan.

Third, and most important, leaving the market is a decision with its own costs, not an escape from decisions. A retirement that begins at 62 can run thirty years. At 3 percent inflation, which is an assumption and not a forecast, $70,000 of spending today requires about $169,900 thirty years from now. You can check that: 1.03 multiplied by itself thirty times is about 2.43. A portfolio positioned so conservatively that it cannot outpace that has traded one risk for another, and the second one arrives late in life when the options have narrowed and nobody is going back to work.

There is no setting on this dial that removes risk. There is only which risk you are choosing, and whether you chose it deliberately.

What Actually Changes the Picture

Several things genuinely reduce this exposure. None of them is free, and none of them is a recommendation. What follows is a menu, with the cost of each stated plainly, because a menu with the prices removed is not information.

Knowing your real withdrawal rate. This is arithmetic, not opinion, and most people have never done it. Take the gross annual amount that has to leave your retirement accounts, before tax, and divide by the balance. Do it for the bridge years and again for the years after Social Security starts, because they are usually very different numbers. The cost of lowering the rate is spending less, which is not free.

Shortening the bridge, or lengthening it. Claiming Social Security earlier shortens the high-withdrawal stretch and cuts sequence risk directly. It also permanently reduces the monthly amount, including the amount that continues to a surviving spouse. Waiting does the opposite on both counts. These are the same decision viewed from two sides, and treating them separately is how households end up optimizing one and damaging the other. Mistake 7, on Social Security and the survivor's income floor, takes this up in full, including what remedies remain if a claim has already been made.

Holding part of the bridge outside the market. If one to three years of withdrawals can come from something that does not fall when the market falls, nothing forces you to sell shares at the bottom. Cash, short-term bonds, CDs, a bond or CD ladder, a pension, and Social Security itself can all play some version of this role, and they differ enormously in liquidity, cost, and what you give up to get them. The cost is that money parked this way generally earns less over long stretches.

The wider point is the one that changes when you stop working. Money that is still accumulating and money that has to produce income on a schedule are being asked to do two different jobs. The arrangement that suited the first job is not automatically the one that suits the second, and the moment you leave the accumulation phase is a reasonable moment to ask whether yours still fits. That is a question about which phase you are in rather than about which product anyone sells. If someone does propose a specific arrangement, reasonable questions are what it costs, how long your money is committed, what you can access and when, what happens if you need it early, who stands behind any guarantee it carries, and how the person recommending it is paid.

Flexibility in what you spend. Households that can reduce discretionary spending in a bad year, rather than withdrawing on autopilot, remove a large share of the sting without changing a single investment. Go back to Version A and cut the withdrawal from $70,000 to $55,000 for the three losing years only, changing nothing else. Year ten ends at about $157,000 instead of about $62,000. Roughly $45,000 not spent during the decline was worth roughly $95,000 at the end. This is the cheapest lever available and the least discussed. Its cost is obvious and it is not financial.

Any earned income during the bridge. Part-time work, consulting, a spouse who keeps working two more years. Every dollar earned during the bridge is a dollar that does not have to be withdrawn in the stretch when the rate is highest.

Knowing what a distribution actually sells. Many accounts liquidate proportionally across all holdings by default, which means a withdrawal in a bad year sells your depressed positions along with everything else. Some plans and custodians let you direct which holdings a distribution comes from. Finding out which kind you have is a phone call, and most people have never made it.

Which combination fits depends on your other income, your health, your spouse's situation, your tax picture, whether a pension is involved, and how much of your spending is genuinely optional. Two households with identical balances can land on different answers and both be right.

What This Chapter Is Asking You To Do

Nothing. Not sell anything, not buy anything, not change anything.

Only to notice a factor that may not have been on your list, and one fact that surprises most people who hear it.

The factor is the bridge. If there is a stretch ahead of you where you have stopped working and Social Security has not started, that stretch carries a withdrawal rate several times higher than the rest of your retirement. A bad market inside it does damage that later good years do not repair. Its length is partly your choice, and that choice is tangled up with a decision about your Social Security that most people make on completely separate grounds.

The fact is that your withdrawal rate is the gross figure, not what you spend. Gene and Marilyn thought their number was 10.8 percent. Once federal tax was counted, it was 11.5 percent. Nearly nobody has run this calculation for their own household, and it is the single number that determines how much the order of returns can hurt them.

So here is the question worth carrying out of this chapter. **If the market fell 35 percent in the twelve months after you stop working, where would your first three years of income come from?**

If you can answer that with something specific, you have handled most of what this chapter is about. If the honest answer is that you would sell whatever the account sold, or that you have not thought about it, that is not a failure. It is the default, and the default was designed for the part of your life that is ending.

That question has a real answer, and it is specific to your numbers rather than to Gene and Marilyn's. If you would like to see it worked out against your own accounts, your own bridge, and your own income, the person who gave you this book can arrange a Retirement Double Check with an independently licensed professional. What you get from it is a look at your own arithmetic. What you do afterward is entirely yours to decide, including deciding to change nothing at all.

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Mistake 2. The One Thing Medicare Won't Cover

What a long care event would leave your spouse, and how to find that out now rather than later.

You spent a lifetime building two things. One is the retirement money: the old 401(k) from a job you left in 2004, the 403(b) or the 457 or the TSP, the rollover IRA that holds most of it now, maybe a pension. The other is the house, which you finished paying for and now think of as simply yours.

This chapter is about the one event that can take both.

It is not a market crash. A crash takes a percentage and gives most of it back. This event takes everything above a fixed line, and where that line sits has nothing to do with how carefully you saved.

The line, in 2026, is roughly $165,000.

What Medicare actually covers, stated precisely

The title of this chapter is short enough to be misleading, so let us fix that first. Most people have these details slightly wrong.

Medicare does cover skilled nursing facility care, under narrow conditions. You need a qualifying inpatient hospital stay, which means a medically necessary inpatient admission of at least three days in a row. Time spent in the emergency room or under observation does not count toward those three days, even if you slept there. You then need skilled nursing or skilled therapy, meaning care that has to be delivered by or under the supervision of a professional.

If you meet all of that, Medicare Part A pays for a limited stay. In 2026 you pay nothing for the first 20 days of a benefit period. From day 21 through day 100 you pay $217 per day, which is $17,360 if you use the full window. After day 100, Medicare pays nothing.

Medicare also covers home health services. Again narrowly. You must be homebound, and you must need part-time or intermittent skilled care. Medicare states plainly that it does not pay for 24-hour care at home, does not pay for homemaker services unrelated to your care plan, and does not pay for custodial or personal care when that is the only care you need.

Custodial care is the thing people actually need. Help bathing. Help dressing. Help getting to the bathroom. Someone in the house overnight. Medicare's own words on its long-term care page are: "Medicare doesn't pay for long-term care." Medicare Supplement insurance, the Medigap policy many people buy at 65, does not fill this gap either, because it fills gaps in what Medicare covers, and this is not a gap. It is outside the fence.

So the accurate version of the title is this. Medicare covers the rehabilitation after the hospital. It does not cover the years after the rehabilitation ends.

What that care costs

These are 2025 national medians from the CareScout Cost of Care Survey, which collected more than 25,000 rates from providers between July and November 2025.

- A non-medical caregiver in your home: $35 per hour. At 44 hours a week, $80,080 a year.
- Adult day health care: $95 a day, or $24,700 a year at five days a week.
- Assisted living: $6,200 a month, $74,400 a year.
- A nursing home semi-private room: $315 a day, $114,975 a year.
- A nursing home private room: $355 a day, $129,575 a year.

Medians hide a great deal. These numbers are roughly double in parts of the Northeast and the Pacific Northwest and meaningfully lower in parts of the South and Midwest. Ask what the number is in your county, not in the country.

What the odds actually are

Fear is a poor guide here, and so is optimism. The Department of Health and Human Services has studied this directly. Among people who reach age 65:

- About 70 percent will eventually develop severe long-term care needs.

- About 48 percent will receive paid care at some point. The rest are cared for by family, usually a spouse and then a daughter.
- About 24 percent will receive more than two years of paid care.
- About 15 percent will spend more than two years in a nursing home.
- About 6 percent will have severe needs lasting more than ten years.

Women carry more of this. Roughly 75 percent of women develop severe needs and 55 percent receive paid care, against 64 percent and 38 percent for men. Women also live longer, which is why the person who ends up alone with the consequences is usually the wife.

Read those numbers honestly, and they say two things at once. Most care events are short, unpaid, or both. And roughly one household in four faces a paid event long enough to matter, with a smaller group facing one long enough to end the plan. This chapter is about that tail, because the tail is the only part with the power to take the whole thing.

Ray and Ellen

Ray and Ellen are invented. Their numbers are illustrative and are not a prediction for anyone.

Ray is 74, Ellen is 71. Between them they have about $712,000 across Ray's rollover IRA, a small 403(b) Ellen never moved, and a joint savings account. Ray has a modest pension. The house is worth about $700,000 and has been paid off since 2019. They think of themselves, correctly, as people who did this right.

At 76 Ray has a stroke. Three days in the hospital, then eighteen days of covered rehabilitation, then Medicare's coverage ends because he is no longer improving in the way the rules require. He comes home. They hire help, about 44 hours a week, for fourteen months. That runs roughly $93,000. Then Ellen cannot manage the nights anymore and Ray moves into a nursing home, private room, where he lives for another 26 months at roughly $281,000.

Forty months. About $374,000. And Ray, at that point, is still alive.

Do the subtraction and they are not destitute. They started with about $712,000 and they have about $338,000 left, plus the house. Forty months of care did not reach Medicaid, and it did not wipe them out.

That is the part worth sitting with, because it is where most people stop reading. It did not wipe them out, and it is not over. Ray needs the same care tomorrow that he needed yesterday, at roughly $10,800 a month. What is left runs about thirty-one more months. The question in front of this family was never whether the money would run out. It was when, and what Ellen would be standing on when it did.

That is what the next section is about. Not the bill. The floor underneath it.

The floor almost nobody describes

When the private money runs low, the household applies for Medicaid, which is the only public program that pays for long-term custodial care. This is where most books stop, or shift into a warning. It is worth understanding instead, because there is a structure here that was built specifically to keep the healthy spouse from being wiped out, and it is the single most useful thing in this chapter.

Federal law calls these the spousal impoverishment protections. In 2026:

- The spouse who stays at home, called the community spouse, may keep countable resources up to a federal maximum of **$162,660**, with a federal minimum of $32,532. States apply this differently. Some let the community spouse keep everything up to the maximum. Others apply a half-of-the-couple's-assets formula, subject to that same floor and ceiling.
- The spouse who needs care may keep about $2,000 in most states.

- The house is not counted while the community spouse lives in it. Neither is one car, personal belongings, or certain prepaid burial arrangements.
- The community spouse keeps her own income, and if it falls below her state's monthly maintenance needs allowance, some of the ill spouse's income can be shifted to her. In 2026 that allowance runs from a federal minimum of $2,705.00 a month, which took effect on July 1, 2026, to a maximum of $4,066.50 a month. Alaska and Hawaii have higher minimums.

Everything else has to be spent on care first. And there is a look-back: in most states, transfers and gifts made in the five years before applying are examined, and money given away in that window creates a penalty period during which Medicaid will not pay. The fix, whatever it turns out to be, has to be in place years before it is needed. That is the part that makes this a chapter for someone who is 62, not someone who is 82.

Why the middle is the worst place to stand

Here is the arithmetic that makes this chapter belong near the front of the book.

Three hypothetical couples, in a state applying the federal maximum, one spouse entering long-term care. Only countable assets are shown.

COUNTABLE ASSETS	COMMUNITY SPOUSE KEEPS	ILL SPOUSE KEEPS	MUST BE SPENT FIRST	LEFT WHEN MEDICAID BEGINS
$400,000	$162,660	$2,000	$235,340	$164,660
$700,000	$162,660	$2,000	$535,340	$164,660
$1,200,000	$162,660	$2,000	$1,035,340	$164,660

Same last column. The couple who saved $1.2 million spent $800,000 more than the couple who saved $400,000, and both households arrive at the same place, in the same kind of room, with the same aide, eating the same meals. The extra $800,000 did not buy a better ending. It bought the years before the ending, which is a real thing and worth naming. Private pay means choosing the facility, choosing the room, staying home longer, and making those choices before a caseworker is part of the conversation. That is genuine value. It is just not permanent value, and it is not what most people think they are protecting.

Notice also who is safe. A household with $150,000 in countable assets is largely protected the day it walks in. A household with $3 million never applies, pays privately, and treats a three-year event as an expensive inconvenience. It is the household in between, the one this book is written for, that does the entire spend-down and lands on Medicaid anyway.

There is a large complication buried in the word "countable." Whether a retirement account counts is one of the biggest state-by-state differences in the whole system. Some states count the applicant's IRA. Some exempt it if it is in required payout status. Some exempt the community spouse's own retirement accounts entirely. Two couples with identical balances living an hour apart on either side of a state line can get different answers. If you take one factual item from this chapter, make it that one, because it decides how much of your 401(k), 403(b), 457, TSP, or rollover IRA is even in the conversation.

The house is the real care reserve

Most households in this band own a home outright and leave it out of the number they quote when someone asks what they have. It is usually the single largest asset they own, and functionally it is the long-term care reserve, whether or not anyone has said so out loud.

Two things about it.

While the community spouse lives in the home, it is not counted, and the federal home equity limit that applies to single applicants does not stand between her and the front door. She stays. That protection is real, and it is why the table above shows a floor rather than a cliff.

After both spouses are gone, states are required to seek recovery from the estate of a deceased person who received Medicaid long-term care benefits after age 55. For most families, the house is what is in that estate. Recovery is deferred while a surviving spouse is living, and states have hardship processes. But the house is not automatically outside the system. It is protected for her lifetime, not forever.

The exclusion that quietly gets cut in half

Now the part almost nobody sees coming, and it has nothing to do with a nursing home.

When you sell your main home, you may exclude capital gain from tax: up to $500,000 for a married couple filing jointly, up to $250,000 for a single filer, provided you owned and lived in it for at least two of the previous five years. The moment one spouse dies, the survivor files single the following year, and that exclusion is cut in half.

There is a specific relief provision. A surviving spouse may still use the $500,000 exclusion if the sale happens within two years of the date of death and she has not remarried. Miss that window and it is $250,000.

Back to Ellen, still hypothetical, still 2026 rules throughout.

She and Ray bought the house in 1994 for $128,000 and put roughly $72,000 into it over the years, so their adjusted basis is $200,000. The house is worth $700,000 when Ray dies. They held it as joint tenants in a state that is not a community property state, so Ray's half receives a step-up to its date-of-death value. Ellen's basis becomes $100,000 for her half plus $350,000 for his, or $450,000.

If she sells eighteen months later at about $700,000 with $42,000 of selling costs, her gain is $208,000. Against the $500,000 exclusion she owes nothing.

If she stays five years, which is what most people actually do, the house is worth $860,000 and selling costs are $52,000. Her gain is $358,000. Against a $250,000 exclusion, $108,000 is taxable.

That $108,000 does not arrive alone. Her other income that year is a $34,800 Social Security survivor benefit, $7,200 of pension, and a $24,000 IRA withdrawal. The gain drives her provisional income, which is the measure Social Security uses to decide how much of a benefit becomes taxable, and it counts adjusted gross income plus tax-exempt interest plus half the benefit. That provisional income is high enough that 85 percent of her Social Security becomes taxable, which is $29,580. Her adjusted gross income for the year is $168,780. She takes the standard deduction of $16,100 plus the $2,050 addition for a single filer 65 or older, which is $18,150. The temporary senior deduction of up to $6,000 that Congress added for 2025 through 2028 begins phasing out above $75,000 of modified adjusted gross income for a single filer at six cents on the dollar, and disappears entirely at $175,000. A gain this size takes almost all of it, leaving her $373.

Taxable income: $150,257, of which $108,000 is long-term capital gain and $42,257 is ordinary.

On the ordinary $42,257: 10 percent on the first $12,400 is $1,240, and 12 percent on the next $29,857 is $3,583. That is $4,823.

On the gain: the zero percent capital gains rate runs up to $49,450 of taxable income for a single filer in 2026. Her ordinary income has already used $42,257 of that, leaving $7,193 of gain taxed at zero. The remaining $100,807 is taxed at 15 percent, which is $15,121.

Total federal tax: **$19,944**. Her marginal rate, meaning the rate on her next dollar, is 12 percent on ordinary income and 15 percent on additional gain. Her effective rate, meaning total tax divided by total income, is 11.8 percent. Those two numbers are not the same and are not interchangeable, and the second one is the one that describes what she actually paid.

In the sell-within-two-years version, her tax for the year is about $2,627. The difference is roughly $17,300, on the same house, in the same family, over a filing status and a calendar.

One more variable worth knowing. In the nine community property states, both halves of the home typically step up at the first death rather than one. Run Ellen's five-year sale with a $700,000 basis instead of $450,000 and her taxable gain is zero. Same couple, same house, same timing, different state.

Where the honest levers are

There is no single answer here, and anyone who leads with one is selling before they have looked. The levers that exist, with their real drawbacks:

Family caregiving is what actually happens in most households, and it is unpaid, uncounted, and hard on whoever provides it.

The house can be used deliberately rather than by default, through a sale, a downsize, or a line of credit, each with tax and eligibility consequences.

Long-term care insurance and hybrid life insurance contracts with care riders exist. Traditional policies have a history of premium increases, and hybrids generally want a large lump sum that is a meaningful share of a portfolio this size.

Medicaid planning with an elder law attorney in your state is a real discipline, and it runs into the five-year look-back, which is why timing dominates it.

And deciding to do nothing, knowingly, understanding where the $164,660 floor sits, is a legitimate choice that some households make on purpose.

Each of those has a cost. Some are products, and products pay commissions, which the front of this book discloses. The purpose of listing them is not to point at one.

What to take from this

Three things worth carrying out of this chapter.

The first is a factor most people size wrong: the number that matters is not what care costs, it is what the survivor is left with. A three-year event and a five-year event can leave the same spouse in the same position, and a household with twice the savings can arrive there too.

The second is something you may not know: your state's rules on whether retirement accounts are countable, and the two-year window on the home sale exclusion, are both specific, both knowable in an afternoon, and both capable of moving six figures. Neither is discoverable from a national article, because neither is national.

The third is timing. The five-year look-back means the useful decisions get made in your sixties, not during the hospital discharge call. The house decisions get made while both of you are alive, not in the second year of widowhood.

This is a good reason to sit down with someone who works in your state, has read your state's Medicaid rules, and can look at your accounts, your house, and your basis in it at the same time. Not to be told what to do. To find out which of these actually applies to you, and which does not.

If you want that conversation, contact whoever gave you this book and ask about a Retirement Double Check.

Mistake 3 covers the health insurance years from 62 to 65 and the doors that close at 65. Mistake 4 covers the tax bill your retirement accounts are quietly building, including why more of Ellen's Social Security became taxable the year she sold the house. Mistake 7 covers the survivor's income floor and the claiming decisions that set it.

Sources: medicare.gov skilled nursing facility care, home health services, and long-term care coverage pages, and the 2026 Medicare costs publication; CMS 2026 SSI and Spousal Impoverishment Standards; HHS ASPE, "What Is the Lifetime Risk of Needing and Receiving Long-Term Services and Supports"; CareScout 2025 Cost of Care Survey; IRS Publication 523 and Topic 701; IRS Revenue Procedure 2025-32 for 2026 brackets, standard deductions and capital gain rate thresholds; IRS guidance on the One Big Beautiful Bill Act senior deduction. Figures are 2026 unless noted and are subject to change.

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Mistake 3. The Doors That Close at 65

Two deadlines that never reopen, and how to reach 65 without missing either one.

You spent a working lifetime earning health coverage without ever thinking of it as something you earned. It came with the job. It came out of the paycheck before you saw it. Somebody in human resources handled the paperwork, and once a year you picked a plan off a list.

Then you stop working, and it is yours to arrange. It turns out that what you thought of as a benefit was two separate assets you built. One is the Medicare you bought with every payroll tax you ever paid, which starts at 65. The other is the ability to buy insurance before 65 at a price that is not punishing, which for most people depends on a federal premium credit that you either qualify for or do not.

Both can be lost, and not slowly. They are lost at specific moments, by people who were paying attention, because the rules have deadlines and edges that nobody mentions until you are past them.

This chapter is about three of them. A financial edge in the years before 65, and two doors that close at 65 and generally do not reopen.

Who this is for

You are somewhere between 59 and 70. You have built up somewhere between $300,000 and a bit over a million dollars across old 401(k)s, a 403(b) or a 457 from an earlier job, a rollover IRA, maybe a TSP, maybe a small pension, and some savings outside all of it. Your house is probably paid off or close to it. You have more than enough to be disqualified from most assistance, and not so much that a bad decision disappears into the noise.

That combination is the one these three rules are hardest on. Someone with $60,000 of income and $80,000 of savings is protected by the programs. Someone with $4 million writes a check and moves on. You are in the band where a decision made in the wrong month costs real money you cannot earn back, because the person who would have earned it back is retired.

Part one: the line that came back on January 1, 2026

If you retire before 65 and you do not have retiree coverage from an employer, you buy your own health insurance, almost always through the Affordable Care Act marketplace in your state.

The marketplace has a premium tax credit that reduces what you pay. From 2021 through the end of 2025, that credit was calculated under temporary enhanced rules, and one feature of those rules was that there was no upper income limit. If your income was high, the credit shrank gradually until it was worth nothing, but it faded out. It did not fall off a shelf.

Those enhanced rules expired on December 31, 2025. For 2026 coverage, the original rule is back, and the original rule has a hard cutoff at 400 percent of the federal poverty level.

Here is what that means in dollars. Marketplace eligibility for the 2026 plan year is measured against the 2025 federal poverty guidelines, which for the 48 contiguous states are $15,650 for a household of one and $21,150 for a household of two. Four times those figures gives you the line:

- **$62,600** for a single person
- **$84,600** for a married couple filing jointly

Below the line, your premium for the benchmark plan is capped as a share of your income. The IRS sets that cap each year, and for 2026 anyone between 300 percent and 400 percent of the poverty level pays at most 9.96 percent of household income for the benchmark plan. The credit covers the rest.

One dollar above the line, the credit is zero. Not smaller. Zero.

What that actually costs

The following couple is invented, and the numbers are illustrative. They are not a prediction about you.

Dennis and Ruth are both 63. They retired last year. Between them they have about $740,000, spread across his rollover IRA, her old 457 plan, and roughly $90,000 in a regular brokerage account. Their house is paid for. Neither has claimed Social Security yet, because they are trying to hold off until he reaches full retirement age and she reaches 70, so the whole household budget comes out of savings.

For 2026 their income looks like this:

- Interest and dividends from the brokerage account: $4,000
- Withdrawals from the IRA and the 457: $80,000
- Total: $84,000

The marketplace measures a number called modified adjusted gross income, or MAGI. For premium credit purposes, the IRS defines it as your adjusted gross income plus tax-exempt interest, plus excluded foreign earned income, plus the portion of Social Security benefits that is not taxable. Dennis and Ruth have none of those add-backs, so their MAGI is $84,000.

That is $600 under the line.

Suppose the benchmark plan in their county costs $2,050 a month for the two of them, or $24,600 for the year. Check your own marketplace for your county, because this number varies enormously by state, by county, and by age. A 63-year-old pays roughly three times what a 25-year-old pays for the identical plan.

Their cap is 9.96 percent of $84,000, which is $8,366 for the year, about $697 a month. The credit is the difference, $16,234, and it is paid in advance directly to the insurer every month, which is why most people never see it as a number.

Now change one thing. In November the furnace fails. They take an extra $1,000 out of the IRA to pay for it.

MAGI is now $85,000. That is above $84,600. The credit for the entire year is zero.

They do not lose a slice of it. They lose all $16,234, and because it was paid in advance on their behalf all year, they pay it back when they file. The repayment limits that protect people at lower incomes do not apply once you are at or above 400 percent of the poverty level. The full amount comes back.

That $1,000 withdrawal cost them $16,354.

Marginal and effective, and why the gap matters here

Two words get used interchangeably and they are not the same thing.

Your **marginal rate** is what the next dollar of income costs you. Your **effective rate** is what your whole tax bill works out to as a share of your income. They are usually far apart, and people mix them up in the direction that costs them money.

Run Dennis and Ruth's actual federal income tax at $84,000 of gross income. They are both under 65, so no age add-on to the deduction applies yet.

- Gross income: $84,000
- Less the 2026 standard deduction for a married couple filing jointly: $32,200
- Taxable income: $51,800

Then bracket by bracket, at the 2026 rates:

- 10 percent on the first $24,800: **$2,480**
- 12 percent on the remaining $27,000: **$3,240**
- Total federal income tax: **$5,720**

Their marginal rate is 12 percent. Their effective rate is $5,720 divided by $84,000, or about 6.8 percent. If you had asked them what tax bracket they were in, they would have said 12, and they would have been right, and it would have told them almost nothing about the decision in front of them.

Because the true cost of that last $1,000 was not 12 percent. It was $120 of income tax plus $16,234 of vanished premium credit. Over 1,600 percent.

There is nothing anywhere else in the tax code that behaves like this. Almost every other threshold phases out gradually. This one does not.

What counts, and what does not

Since the whole thing turns on a single number, it is worth knowing what feeds it.

Withdrawals from a traditional IRA, a rollover IRA, a 401(k), a 403(b), a 457, or a TSP all count in full. So do interest, dividends, capital gains, pension payments, and any wages from part-time work.

Social Security counts in full for this purpose, including the part that is not taxable. That surprises people. On your tax return, some of your Social Security may escape income tax entirely. For the marketplace calculation, all of it is added back in. A reader who claimed early at 62 to bridge the gap has already used up a large piece of the room under the line without realizing it.

Some things do not count. Withdrawals from a Roth IRA are not income. Money you take out of a regular savings or brokerage account is not income, though the interest, dividends, and realized gains it throws off are. A contribution to a health savings account, if you are still eligible to make one, reduces the number. So does a deductible IRA contribution if you or your spouse still have earned income.

That asymmetry is the whole game in these years. Two households can spend exactly the same amount of money and report very different incomes, depending entirely on which accounts they spend from and in what order.

Where this collides with a Roth conversion

Mistake 4 covers the tax bill your retirement accounts are quietly building and the role Roth conversions can play in reducing it. The gap years before 65 are often the lowest-income years of your life, which makes them look like the obvious time to convert.

They may be. But if you are buying your own health insurance in those years, a conversion adds directly to the number the marketplace measures, and it adds to it dollar for dollar. A $40,000 conversion that looks like it costs 12 percent in tax can also cost the entire year's premium credit if it carries you over $62,600 single or $84,600 joint. And Roth conversions have not been reversible since 2018, so there is no undoing it in April when the accountant finds it.

Those two chapters do not disagree. The conversion window is real. The cliff is a ceiling on how wide you can open it in any year you are on a marketplace plan. Both facts have to be on the table at the same time or you will get the answer wrong in one direction or the other.

Part two: the Part B door

At 65, Medicare starts. Part A covers hospital care and is premium-free for most people, because you paid for it through payroll taxes. Part B covers doctors and outpatient care and has a monthly premium, which for 2026 is $202.90 for most people.

If you do not sign up for Part B when you are first eligible and you do not qualify for a special enrollment period, Medicare adds a late enrollment penalty of 10 percent of the premium for each full 12-month period you could have had it and did not. Medicare's own example: wait two full years, and you pay a 20 percent penalty on top of the standard premium, which in 2026 works out to $243.50 a month instead of $202.90.

The part that matters is the last few words in Medicare's description of it. The penalty applies "for as long as you have Part B coverage." It is not a fine. It is a permanent surcharge, and because it is calculated as a percentage of a premium that has gone up in most years, the dollar amount grows along with the premium. Two years late is roughly $487 in 2026 alone, and close to $10,000 across a twenty-year retirement even if the premium never rose again, which it will.

Here is the trap, and it is the reason careful people get caught.

There is a special enrollment period that lets you delay Part B without penalty while you are covered by a current employer's group health plan, yours or your spouse's, at an employer with 20 or more employees. That period runs for eight months after the employment ends. It is a real and generous rule, and people rely on it correctly all the time.

What it does not cover is COBRA, and it does not cover retiree coverage. Medicare states it plainly: "COBRA isn't considered group health plan coverage," and "getting COBRA doesn't change when this Special Enrollment Period ends." The window ends eight months after your group health plan coverage or your employment ends, whichever happens first. Medicare also lists "your COBRA coverage or retiree coverage ends" among the situations that do not qualify you for a special enrollment period at all.

Read that again with a calendar in hand. Someone retires at 64 and elects COBRA, which typically runs 18 months. They feel covered, because they are covered. They turn 65 four months later and do nothing, because they have insurance. And here is the clock that actually catches them, which is not the one most people are watching. Someone who stops working before 65 was never covered by an employer plan while Medicare-eligible, so the eight-month special enrollment period is largely beside the point for them. Their binding window is the seven-month initial enrollment period around the sixty-fifth birthday, three months before, the birthday month, and three months after. That window closes while they are still paying COBRA premiums. By the time COBRA ends they are outside every enrollment window except the general one that runs January 1 to March 31. They have a gap in coverage, and a penalty attached to their Part B premium for the rest of their life.

The same applies to a retiree health plan from a former employer, and to a marketplace plan. Neither is current employment coverage. Neither protects the special enrollment period.

One related detail if you are still working past 65 and contributing to a health savings account. Enrolling in Part A ends your eligibility to contribute. When you sign up after 65, your Part A coverage is backdated up to six months, though never earlier than the month you turned 65. That backdating can retroactively disqualify contributions you already made.

Part three: the six-month window that is the only one you get

This is the one most people have never heard of, and it is the most irreversible item in this chapter.

Original Medicare, Parts A and B, does not cover everything. It leaves deductibles and coinsurance, and unlike almost every employer plan you have ever had, it has no annual cap on what you can be asked to pay out of pocket. A Medigap policy, sold by a private insurer, fills those gaps. Some people instead choose a Medicare Advantage plan, which bundles coverage through a private network. Both are legitimate choices, and this chapter will not tell you which one fits you.

What it will tell you is when you get to choose freely, because that answer is short.

Under federal law you get a six-month Medigap open enrollment period. It starts the first month you are 65 or older and also enrolled in Part B. Medicare describes what happens during it: an insurance company "can't refuse to sell you any of the medical policies it offers," they cannot use medical underwriting to deny you for pre-existing conditions, and they cannot charge you more because of your health history.

And then this: "Your Medigap Open Enrollment Period is a one-time enrollment period. It doesn't repeat every year."

After it closes, in most states, the rules invert. Medicare's own guide is blunt about it. Outside that window, you may pay more, fewer policies may be available, and "the insurance company is allowed to deny you a policy if you don't meet their medical underwriting requirements."

So consider the sequence that plays out constantly. A healthy 65-year-old chooses a Medicare Advantage plan, often because the premium is low and the extras are appealing, and it is frequently a reasonable choice. Six months pass. Four years later a diagnosis arrives, and with it the wish for the broader access that Original Medicare plus a Medigap policy provides. They apply. They answer the health questions. In most states the insurer can decline, and does.

Nothing was done wrong. The window closed quietly, at a moment when there was no reason to be thinking about it.

Two things soften this, and both are narrow enough that they need checking rather than assuming.

The first is a trial right. If you joined a Medicare Advantage plan when you were first eligible for Medicare at 65, and within the first year of joining you decide you want to switch to

Original Medicare, federal law gives you a guaranteed right to buy any Medigap policy sold in your state. You generally must apply within 63 days of your coverage ending. That is a one-year escape hatch on a decision that is otherwise permanent, and most people who joined at 65 have never been told it exists.

The second is your state. Federal law is a floor, not a ceiling. A small number of states require insurers to sell Medigap policies at other times. Most do not. Massachusetts, Minnesota, and Wisconsin standardize their policies differently from everywhere else. Your state insurance department, or your State Health Insurance Assistance Program, can tell you which kind of state you live in, and the answer changes the stakes of your 65th birthday considerably.

How the three fit together

All three run through the same calendar, and they pull against each other.

The years before 65 reward keeping reported income under a specific line, which pushes toward spending from Roth accounts and regular savings. The years after 65 reward having emptied enough of the traditional accounts to keep later tax bills manageable, which pushes the other way. And the date you enroll in Part B silently sets the date your Medigap window closes, because that six-month clock does not start until Part B does.

None of these is complicated on its own. The difficulty is that they are administered by different agencies, they use different definitions of income, and nothing arrives in the mail telling you they are connected.

Before you decide anything

There is no recommendation at the end of this chapter, and that is deliberate. What is right depends on your county's premiums, your state's Medigap rules, your health, your spouse's coverage, which accounts your money is sitting in, and how many years you have before Social Security turns on. A book cannot know any of that.

But here are three things worth carrying into a conversation.

A factor that matters more than most people realize: in the years before 65, the number the marketplace measures is not your spending, it is your reported income, and those two things are only loosely related. Which account you draw from changes the number. That is a lever, and most people never learn they are holding it.

Something you may not know: COBRA and retiree coverage do not protect you from the Part B late enrollment penalty, and the six-month Medigap window opens once, on a date determined by when your Part B starts, and does not come back.

And this is a good reason to talk to somebody. Not because the rules are unknowable, but because they are scattered, dated, and interlocking, and because the two at 65 have no appeal and no do-over. Someone who walks people through this every month knows which questions to ask about your county, your state, and your accounts, in an order that catches the collisions before they happen.

If you want to look at your own version of this, the Retirement Double Check is where to start. Bring the ages, the account balances and what type each account is, whether either of you still has employer coverage and how large that employer is, and the date each of you turns 65. That is enough to see where your lines fall and how much room you actually have.

The coverage was part of what you earned. It is worth an hour to make sure you keep all of it.

Sources for the figures in this chapter. 2026 federal income tax brackets and the $32,200 standard deduction: IRS Revenue Procedure 2025-32. The 2026 premium tax credit applicable percentage table, including the 9.96 percent cap and the 400 percent cutoff: IRS Revenue Procedure 2025-25. Federal poverty guidelines used for 2026 marketplace eligibility ($15,650 and $21,150): HHS ASPE 2025 poverty guidelines. Modified AGI definition and the absence of a repayment limit at or above 400 percent: IRS Instructions for Form 8962. Part B premium of $202.90 and the late enrollment penalty: CMS

2026 Medicare Parts A and B premiums fact sheet and medicare.gov, "Avoid late enrollment penalties." The special enrollment period and the COBRA rule: medicare.gov, "When can I sign up for Medicare?" Medigap open enrollment, medical underwriting, and trial rights: medicare.gov, "Get ready to buy," and the CMS guide "Choosing a Medigap Policy" (publication 02110). All figures current as of August 2026 and subject to change.

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Mistake 4. The Bill You Haven't Opened Yet

What you already owe on money you have saved, and the short window when you can still change it.

Look at the balance on your retirement account statement. Whatever number is printed there, some of it is not yours.

That is not a criticism of how you saved. It is the deal the accounts were built on. You put money into a 401(k), a 403(b), a 457(b), the Thrift Savings Plan, a traditional IRA, or a rollover IRA holding what is left of a job you had twenty years ago. In exchange for skipping the tax on the way in, you agreed that the government would take its share on the way out. Nobody sends you a statement showing that share. It sits inside the balance, unopened, growing alongside your money.

Here is the part almost nobody is told. The size of that share is not fixed. Two people with identical balances, identical ages and identical spending can hand over very different amounts, because the tax on a retirement account is decided less by how much you take out than by what year you take it out and what else is on your return that year. For a few years that timing belongs to you. Then it stops.

If you are between 59 and 70, with roughly $300,000 to $1,200,000 spread across old workplace plans, a rollover IRA and some taxable savings, the mechanism below is almost unique to you. It largely does not exist for households with much less, and it disappears entirely for households with much more.

Everything that follows uses 2026 federal figures. State income tax is separate and varies enormously. The people in the examples are invented for this book, they are not clients or composites of clients, and nothing here predicts your result.

Two rates, and why the difference is the whole chapter

Your marginal rate is the tax on your next dollar. Your effective rate is the share of your total income you actually hand over. They are almost never the same number, and the effective rate is always the lower of the two.

Federal tax is charged in layers. A married couple filing jointly in 2026 subtracts a standard deduction of $32,200, and what is left is taxed in slices: 10 percent on the first $24,800, 12 percent up to $100,800, 22 percent up to $211,400, and upward from there. Being "in the 22 percent bracket" does not mean 22 percent of your income goes to the IRS. It means the last dollar did.

Almost every frightening tax figure a retiree hears comes from someone multiplying a bracket rate by a whole income. Those numbers run 40 to 50 percent too high. What follows uses the distinction in the opposite direction, because in this asset range the real marginal rate turns out to be far higher than the bracket while the effective rate stays low. Both are true at once, and missing either one leads somewhere expensive.

Walter and Diane

Walter and Diane are both 68 and retired. Between them they collect $56,000 a year in Social Security. They hold about $700,000 in pre-tax retirement money: Walter's rollover IRA, which absorbed two old 401(k)s, and Diane's 403(b) from twenty-six years with the school district. Their house is paid for. They spend modestly, so they pull about $22,000 a year out of the accounts and let the rest sit.

Their federal income tax bill this year is zero.

That is not a trick. Because their income is low, only about $11,100 of their Social Security counts as taxable income, for reasons we get to in a moment. Add the $22,000 withdrawal and their adjusted gross income is $33,100. Against that they subtract the $32,200 standard deduction, plus $1,650 each because they are over 65, plus a further $6,000 each under a temporary deduction for people 65 and older that runs from 2025 through 2028. That is $47,500 of deductions against $33,100 of income. Nothing is left to tax.

Hold on to that, because most books skip it. At the center of this asset range, in a normal year, with both spouses alive, the federal tax bill on a plan like this one is small and sometimes nothing. Anyone who opens with a tax catastrophe is describing a household considerably richer than this one.

The damage is not in the ordinary year. It is in three places: the rate on the next dollar, the year the government starts choosing the amount, and the year one of them is left alone.

The rate on the next dollar

Suppose Walter and Diane need more. A roof, a car, help for a grandchild. They raise the withdrawal from $22,000 to $40,000.

Their taxable income is now $18,900 and their federal tax is $1,890. Against the $96,000 they actually received that year, that is an effective rate of about 2 percent. Their bracket is 10 percent, the lowest one there is.

Now they take out one more thousand dollars.

That thousand costs them $185 in federal tax. Not $100. Their real marginal rate is 18.5 percent, in the 10 percent bracket.

Push the withdrawal to $50,000 and take another thousand on top. That one costs $222. Their bracket is now 12 percent. Their real marginal rate is 22.2 percent.

Here is why. Social Security is not taxed the way wages are. Whether any of it is taxable depends on a figure called provisional income, sometimes called combined income: everything else on your return, plus any tax-exempt municipal bond interest, plus half of your Social Security benefits. Run that number against two thresholds.

FILING STATUS	NO BENEFITS TAXED	UP TO 50 PERCENT TAXABLE	UP TO 85 PERCENT TAXABLE
Single	Under $25,000	$25,000 to $34,000	Over $34,000
Married filing jointly	Under $32,000	$32,000 to $44,000	Over $44,000

Every dollar you take out of a traditional retirement account counts toward provisional income. So in the range above the upper threshold, one dollar of withdrawal does two things at once. It adds itself to your taxable income, and it drags 85 cents of Social Security in behind it. One dollar out of the IRA becomes $1.85 of taxable income. Multiply by the 10 percent bracket and you get 18.5 percent. Multiply by 12 percent and you get 22.2 percent.

Planners call this the tax torpedo. It is not a penalty and it is not a mistake anyone made. It is the arithmetic of a formula written in 1983.

Which brings us to the part that is hard to believe. **Those four thresholds have never been adjusted for inflation.** The $25,000 and $32,000 figures were set in the 1983 Social Security amendments. The $34,000 and $44,000 figures were added in 1993. Neither pair has moved since. Every other number in the tax code is re-indexed each year: the brackets, the standard deduction, the contribution limits. These four are not. A couple crossing $44,000 of provisional income in 2026 is crossing a line drawn for a 1993 household.

Now the strangest feature. Follow Walter and Diane's marginal rate as the withdrawal keeps rising.

ANNUAL WITHDRAWAL FROM PRE-TAX ACCOUNTS	FEDERAL TAX	BRACKET THEY ARE IN	ACTUAL RATE ON THE NEXT DOLLAR
$22,000	$0	10%	0%
$40,000	$1,890	10%	18.5%
$50,000	$3,992	12%	22.2%
$70,000	$7,916	12%	12%

The rate climbs, and then it falls. Once 85 percent of the benefit is already being taxed there is nothing left to drag in, and the next dollar costs the plain bracket rate again. The most expensive dollars this couple will ever withdraw sit in the middle, not at the top.

This is why the mechanism belongs to this asset range and almost nowhere else. A household living mostly on Social Security never reaches $44,000 of provisional income, so the hump never starts. A household with $3 million cleared those thresholds decades ago and lives on the flat ground past them.

The climb only reaches people who saved enough to be pulled across the line, and not so much that they were never below it.

The year the timing stops being yours

All of the above assumes Walter and Diane choose the withdrawal. At some point they do not.

A required minimum distribution is the amount the law obliges you to take out of your pre-tax accounts each year once you reach a certain age, whether you need it or not. It reaches traditional, SEP and SIMPLE IRAs, 401(k), 403(b) and governmental 457(b) plans, and the Thrift Savings Plan. Roth IRAs are exempt during your lifetime, and since 2024 so are designated Roth accounts inside a workplace plan.

The age depends on the year you were born. It is 73 for people born in 1951 through 1959, and 75 for people born in 1960 or later. That split runs straight through the middle of the people reading this.

BIRTH YEAR	RMD BEGINS AT
1951 through 1959	73
1960 or later	75

There is no rounding and no partial credit. Someone born in December 1959 is on the clock two years before someone born in January 1960. The statute was drafted in a way that left 1959 genuinely ambiguous, and the IRS resolved it in proposed regulations by assigning that birth year to 73. If that is your year, it is worth confirming rather than assuming.

The larger point is what the table decides. A reader who is 59 today and born in 1966 has roughly sixteen years in which they choose the withdrawal. A reader who is 70 today and born in 1955 has three. Same book, same rules, two completely different amounts of room to work with, and nothing in either person's paperwork tells them which one they are.

The amount is your balance on December 31 of the prior year divided by a factor from the IRS Uniform Lifetime Table. At 73 the factor is 26.5. At 75 it is 24.6. It shrinks every year after that, so the required fraction of the account rises for as long as you live.

Assume for illustration that Walter and Diane's $700,000 grows at 5 percent a year net of the withdrawals they are taking. By 73 it is roughly $893,000, and the first required distribution is about $33,700. If they were born in 1960 or later and start at 75, the balance is roughly $985,000 and the first distribution about $40,000.

One detail catches careful people. Each spouse has a separate clock based on their own birth year, and each person's required amount must come out of their own accounts. A joint return does not merge them.

The year one of them is alone

This is the part of the chapter that matters most, and the part that gets a parenthesis in most books.

When one spouse dies, the household stops receiving two Social Security checks and starts receiving one, the larger of the two. Say Walter's benefit was $32,000 and Diane's was $24,000. Diane keeps $32,000. Household income falls by $24,000 a year, permanently.

Her tax bill goes up.

In the year of the death she can still file jointly. The year after, she files single. The status called qualifying surviving spouse, which preserves joint brackets, requires a dependent child at home, and a widow in her late sixties does not have one. Once she files single, three things happen at once. The standard deduction falls from $32,200 to $16,100. Every bracket threshold roughly halves. And the Social Security thresholds drop from $32,000 and $44,000 to $25,000 and $34,000, so the torpedo starts earlier.

If Diane keeps withdrawing the same $40,000, her federal tax goes from the $1,890 the couple owed to $4,438. Her income fell by $24,000 and her tax rose by about 135 percent.

But $40,000 is no longer enough, because $24,000 of income just disappeared. To hold roughly the same spendable money she had as part of a couple she has to withdraw about $74,000, on which she owes about $12,000. Her marginal rate is now 22 percent, plus a further point or so from a deduction phase-out we come to shortly.

Look at what that does to the portfolio rather than to the return. Against $700,000, a $40,000 withdrawal is a 5.7 percent draw. A $74,000 withdrawal is 10.6 percent. Nothing about the market changed and nothing about her spending changed. A rate of withdrawal a portfolio can carry for decades became one that typically exhausts it in about a decade. That happened in a single year, because of a filing status.

That is the loss this chapter is really about. Not a tax bill. The number of years the money lasts for whichever of you is left.

The tool, and the honest case for and against it

The instrument usually offered against all of this is a Roth conversion.

A conversion moves money from a traditional IRA or workplace plan into a Roth IRA. You add the converted amount to your taxable income that year and pay ordinary income tax on it. In exchange, that money is never taxed again. It grows without tax, qualified withdrawals come out without tax, and there are no required distributions on it during your lifetime. It does not count in the provisional income formula that sets off the torpedo, and heirs still have to empty it but keep every dollar.

Three mechanics first.

It cannot be undone. Until 2017 you could reverse a conversion through something called a recharacterization. The Tax Cuts and Jobs Act removed that. IRS Publication 590-A states it plainly: no recharacterizations of conversions made in 2018 or later. Convert in March, watch the market fall in April, and the tax is still owed on the March value.

Once you are at RMD age, the required amount comes out first. It is not eligible to be converted. It comes out, it is taxed, and only then can dollars be converted on top of it.

Where the tax money comes from matters. Paying the conversion tax out of the converted amount itself shrinks the balance you were trying to protect.

When a conversion earns its cost

A conversion is worth what it costs only when the rate you pay today is genuinely lower than the rate that would otherwise apply later. Not the bracket. The real rate, including the torpedo. Three situations in this asset range produce a gap that is actually there.

A genuinely empty year, before Social Security starts. This is the strongest one, and the frozen thresholds are what create it. Once Social Security is running, Walter and Diane's next dollar costs 18.5 or 22.2 percent. Before it starts there is no benefit to drag into the taxable column, so the same dollar costs the plain bracket rate. Had they converted at 65, 66 and 67 with no Social Security yet turned on and no other income, roughly $47,500 a year would have come out at no federal tax at all, and the next $24,800 at 10 percent. That is a gap of eight to twelve percentage points against what those same dollars cost them now. The window is real and it is short, and it sits between the year the paycheck stops and the year Social Security starts.

Heirs who will inherit in a higher bracket than yours. Most non-spouse beneficiaries must empty an inherited retirement account within ten years, and if you had already reached your required beginning date they must also take an annual distribution in years one through nine. That lands the account on a 52-year-old at the peak of their earnings. A $500,000 traditional IRA emptied over ten years by a child in the 24 percent bracket is a materially different inheritance from the same balance in a Roth.

A survivor who will be pushed into 22 percent. If one of you has a pension or a benefit large enough that the survivor's own income keeps them in the higher single brackets, converting while both of you are alive moves those dollars at joint rates instead.

When it costs money

Outside those conditions a conversion in this asset range can be worth very little, and it can be worth less than nothing. Four reasons in particular.

There may be no gap at all. If your marginal rate in the gap years is 12 percent and your marginal rate at 75 will also be 12 percent, converting simply moves the tax forward and hands the government money sooner than it had to have it. That is the most common outcome at the lower end of this range, and it is the version nobody enthusiastic about conversions leads with.

The health insurance cliff before 65. If you are under 65 and buying coverage on the marketplace, the enhanced subsidies expired on December 31, 2025 and the hard cutoff at 400 percent of the federal poverty level is back for 2026. A conversion is income for that test. One dollar over the line and the entire premium tax credit disappears, not gradually but all at once, so a conversion done to save a few thousand in tax can cost considerably more in premiums. Mistake 3 carries the dollar figures and the rest of what changes at 65. If you are between 62 and 65 and on a marketplace plan, read it before you size anything here.

The temporary senior deduction phase-out. The $6,000 per person deduction for people 65 and older, which is doing real work in Walter and Diane's zero-tax year, phases out above $75,000 of modified adjusted gross income for a single filer and $150,000 for a couple, at six cents per dollar. Inside that range every extra dollar of income raises taxable income by $1.06, adding roughly a point to a point and a half to your true marginal rate. It is scheduled to end after 2028, which is why the widest-deduction years for many households happen to be right now.

One-off cliffs in a large conversion year. Medicare premiums are income-tested two years in arrears, with the 2026 surcharge starting above $109,000 of modified adjusted gross income for a single filer and $218,000 for a couple. For a married couple in this asset range, those thresholds are ordinarily out of reach and not worth planning around. They become live in two situations: a single large conversion, and a widow, whose threshold is half the couple's. Diane, at the $101,200 of income in the example above, is within $8,000 of hers.

The lever nobody sells you

There is a second tool, and it gets far less airtime than the first because nobody is paid when you use it.

If you are 70 and a half or older and you give to charity at all, a qualified charitable distribution sends money straight from your IRA to the charity without it ever passing through your income. It is not a deduction. The money never appears in your adjusted gross income in the first place, which is the difference that matters. Once you have reached your required distribution age, a qualified charitable distribution also counts toward the amount you are required to take out that year.

Look back at what this chapter has been describing and the significance is hard to miss. Every mechanism in it runs off income. How much of your Social Security becomes taxable runs off income. Your Medicare surcharge two years later runs off income. The rate on your next ordinary dollar runs off income. A qualified charitable distribution is the only common move that satisfies a required distribution while keeping it out of that number entirely. There is an annual limit, it is indexed each year, and it sits above $100,000 per person, which is far more than most households in this range would ever give.

The catch is that it only helps if you were going to give anyway. It is not a way to reduce tax on money you want to keep. For a household that already tithes, gives to a college, or supports something every year, it converts giving they were doing regardless into the cheapest possible way to take a required distribution. For a household that gives nothing, it does nothing.

Two smaller things worth knowing while the bridge years are open. In a year when your taxable income is genuinely low, some or all of a long-term capital gain can fall in the zero percent bracket, which is the same window a conversion competes for. And the two cannot both use the same room, so a year spent on one is a year not spent on the other.

Where this leaves you

None of this is a failure of discipline. The people these rules reach hardest are the ones who saved for thirty or forty years exactly as they were told to. The traps were built into the accounts, and they were built for a working life rather than the years after it.

Three factors decide most of it, and none appear on your statement. The first is the shape of your real marginal rate, which in this asset range rises and then falls and is nowhere near the bracket you believe you are in. The second is your birth year, which decides whether you have three years of control left or sixteen. The third is what your return looks like when one of you is filing alone, which is the year the arithmetic reverses and the withdrawal rate roughly doubles.

Here is something most people are never shown. Walter and Diane, at the center of the range this book is written for, pay no federal income tax at all in an ordinary year, and the next thousand dollars out of their account costs them $185. Both sentences are true at the same time. Almost every decision that goes wrong here goes wrong because someone was looking at one of them and not the other.

Which of those numbers governs your situation cannot be worked out from a book. It depends on your benefit amounts, your balances, your birth years, your filing status, whether you are on a marketplace plan, whether there is a pension, what bracket your children are in, and what state you live in. Those pieces have to be on the table at once, and they have to be your pieces. That is a reasonable thing to sit down with somebody about.

If you want to see what these numbers look like on your own return rather than on Walter and Diane's, the person who gave you this book can arrange a Retirement Double Check. Bring your Social Security statements, your account balances, both of your birth years, and last year's tax return. Those four things are most of the answer.

Sources: IRS Revenue Procedure 2025-32 (2026 brackets, standard deduction, and the additional deduction for age 65 and older); IRS Publication 915 and Internal Revenue Code section 86 (the $25,000, $32,000, $34,000 and $44,000 thresholds, set in 1983 and 1993 and never indexed); IRS guidance on the One Big Beautiful Bill Act deduction for taxpayers 65 and older, $6,000 per person for 2025 through 2028, phasing out above $75,000 and $150,000 of modified adjusted gross income; the SECURE 2.0 Act of 2022 and IRS Publication 590-B (required minimum distribution ages; Uniform Lifetime Table factors 26.5 at 73 and 24.6 at 75); IRS Publication 590-A (no recharacterization of conversions made in 2018 or later); IRS final regulations under section 401(a)(9) (the ten-year rule); and the 2026 Medicare income-related monthly adjustment amount thresholds of $109,000 and $218,000. Tax law changes; these figures are current to 2026.

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Mistake 5. The Form That Overrides Your Will

How to make sure your money reaches the people you meant it to reach.

You are somewhere between 59 and 70. You have a few hundred thousand dollars, maybe closer to a million, spread across accounts you opened at different jobs in different decades. An old 401(k) you never moved. A 403(b) from the hospital or the school district. A 457 from the county. A Thrift Savings Plan account from federal service or the military. A rollover IRA that swallowed two or three of the others. Possibly a small pension, an insurance policy from a job you left in 1994.

That money is the largest thing you built. It took a lifetime and a great many mornings you did not feel like going in.

And the question of who receives it after you die is not answered by your will. It is answered by a form. Usually a single page. Usually filled out once, in a benefits meeting, at a folding table, before some of your grandchildren were born.

If that form is wrong, your will cannot fix it.

The rule, stated plainly

Your will governs everything you own that does not already name someone. Retirement accounts almost always name someone. So do insurance contracts. So does life insurance.

For those assets, the beneficiary designation controls, and the will does not get a vote. The form is not one piece of evidence the family weighs later. It is the instruction, and it is followed.

The Supreme Court settled the point in 2009 in *Kennedy v. Plan Administrator for DuPont Savings and Investment Plan*. William Kennedy had named his wife as beneficiary of his savings plan. They divorced, and the divorce decree stripped her of any interest in his plan benefits. He never changed the form. When he died, his daughter, acting as executor of his estate, asked the plan to pay the estate. The plan paid the ex-wife instead, and the Court held the administrator had done exactly what federal law required: pay according to the documents governing the plan.

Sit with that for a moment. There was a signed court order. There was an estate. There was a family that knew what he wanted. The outdated form still won.

The system is not cruel. It is literal. It does what the paper says.

Every place a form is hiding

This is not a 401(k) problem. It reaches most of what you own:

- Workplace plans: 401(k), 403(b), 457(b), and the Thrift Savings Plan

- Traditional IRAs, rollover IRAs, Roth IRAs, SEP and SIMPLE IRAs
- Insurance contracts, whether held inside a retirement account or bought with after-tax money
- Life insurance, including group coverage through a current or former employer
- Health savings accounts
- Bank and brokerage accounts carrying a payable-on-death or transfer-on-death instruction

Each has its own form, held by its own institution, and updating one does not update the others. This is the part that catches careful people: a rollover does not carry your old designation with it. When money leaves a 401(k) and lands in an IRA, the new account starts with a blank form. If nobody fills it in, that account has no designated beneficiary at all.

Four employers and two rollovers can leave eight or nine of these forms in circulation. Most people cannot say what is on any of them.

What actually goes stale

Divorce. Remarriage. A death. A birth. An adoption. A rollover. A job change. Every one of those changes what you want, and none of them changes what is on file.

A divorce decree does not automatically remove a former spouse from a workplace plan designation. Some states have statutes that revoke an ex-spouse's designation, but those statutes are preempted for federal pension plans, and their reach over IRAs and insurance contracts varies by state and by asset. Relying on a statute to undo a form you could correct in fifteen minutes is a poor trade.

The quieter version is more common. A primary beneficiary dies before you and no contingent was ever named. A named beneficiary later develops a disability and receives means-tested benefits, where an outright inheritance can disqualify them. Or a blended family where the form still reflects the first marriage and the will reflects the second.

Here is a hypothetical, and the people in it are invented. Tom is 68 and retired from a manufacturing plant. His first wife died in 2011. He remarried in 2015, and his will leaves everything to his second wife, Nancy. His rollover IRA, funded from the old 401(k) back in 2013, still names his first wife as primary beneficiary, and the contingent line is blank. Tom's will names Nancy. Tom's will has no authority over that IRA. The account passes under the custodian's default rules, most often to his estate, and Nancy receives it slowly, through probate, and on considerably worse terms than if the form had simply said her name.

The protection that does not survive a rollover

This is one place where the account type genuinely changes the rules, and it surprises people.

Workplace plans covered by federal pension law generally must pay a married participant's account to the surviving spouse. A different beneficiary requires the spouse's written consent, witnessed by a plan representative or a notary public. That is a real protection, and it is written into the statute (29 U.S.C. 1055).

IRAs do not carry it. You can name anyone you like on an IRA without your spouse's signature, and in most states nothing stops you. A few community property states impose their own requirements.

So the day money moves from a 401(k) into a rollover IRA, a federal protection your spouse had quietly disappears. Nothing improper has happened. Nobody did anything wrong. The protection was attached to the plan, not to the money.

What a blank form costs the person you leave behind

When no valid beneficiary is on file, the account typically passes to your estate or to whatever default order the plan document or IRA agreement specifies. Three things follow.

First, it becomes a probate asset. Court process, public record, exposed to creditor claims, months rather than weeks.

Second, an estate is not a person. Tax law calls this having no designated beneficiary, and the payout clock changes. If you die before your required beginning date for distributions, the whole account generally must be emptied by the end of the fifth year after your death. If you die on or after that date, it comes out over your own remaining single life expectancy from the IRS table, reduced by one year each year. At age 77 that table shows 13.3 years, so depending on your age the estate route can actually run longer than ten. Be honest about that: the timeline is not always the injury.

The injury is the third thing. A surviving spouse named directly on the form has options nobody else gets. She can treat the account as her own, roll it into her own IRA, remain a beneficiary, or elect to be treated as the deceased owner for distribution purposes. A spouse who receives the same money through the estate rather than through the form may lose the ability to roll it over. Recovering that option can require asking the IRS for a private letter ruling, which means a formal written request, a user fee, professional help, and no assurance of the answer she wants.

Your required beginning date is April 1 of the year after you reach your required minimum distribution age. That age is 73 for people born in 1951 through 1959, and 75 for people born in 1960 or later. The treatment of anyone born in 1959 was written ambiguously enough that it is worth confirming with a tax professional rather than assuming.

One more account deserves a line of its own, and it is the bluntest of all. A health savings account has only two outcomes. If your spouse is the named beneficiary, it stays an HSA. If anyone else is, the account stops being an HSA, and its full value becomes taxable income to that person in the year you die, all at once (IRS Publication 969).

The ten-year rule, and why it is not what it was

Before 2020, someone who inherited your IRA could often stretch withdrawals across their own lifetime. That option is largely gone.

Under current law, most beneficiaries must empty an inherited retirement account by December 31 of the year containing the tenth anniversary of your death. A narrow group is exempt. Tax law calls them eligible designated beneficiaries, and there are five categories: your surviving spouse; your own minor child; a disabled individual; a chronically ill individual; and any individual not more than ten years younger than you, which often means a sibling, a partner, or a close friend (IRS Publication 590-B, 2025).

Two details in that list are commonly misunderstood, and both come straight from the 2024 final regulations. The age for a minor child is 21, not 18, and state age-of-majority law is expressly irrelevant: the regulation says a person reaches the age of majority on their twenty-first birthday. And the exception covers a child of the account owner, which the regulations extend to adopted, step, and foster children. A grandchild does not qualify. Grandparents who name a young grandchild expecting a long payout are frequently surprised by that one.

Then there is the requirement almost nobody has heard of, because the IRS waived it for four years running and a great deal of published material still omits it. If you die on or after your required beginning date, a beneficiary under the ten-year rule must also take a distribution in each of years one through nine. They cannot sit on it and pull everything in year ten. The final regulations apply to distributions for calendar years beginning on or after January 1, 2025, so this is now live. Missing a required distribution carries an excise tax of 25 percent of the shortfall, reduced to 10 percent if corrected within the window the rules allow.

Roth accounts behave differently in one respect worth knowing. A Roth IRA owner is always treated as having died before the required beginning date, so a beneficiary under the ten-year rule has no annual distributions to take in years one through nine. They simply empty the account by the end of year ten, and the withdrawals are generally tax-free.

What the ten years actually cost

Here is a hypothetical to show the size of it. Carol and Paul are invented people, the numbers use 2026 federal law, and nothing here predicts what would happen to you.

Carol dies at 77 leaving a $520,000 traditional IRA to her son Paul, who is 51, single, and earns $110,000. Paul is an adult child, so he is not an eligible designated beneficiary. Carol died after her required beginning date, so Paul must take something every year and be finished by year ten. He decides to spread it evenly, $52,000 a year.

Start with what Paul pays without the inheritance. Gross income $110,000. Subtract the 2026 standard deduction for a single filer, $16,100, and taxable income is $93,900. The brackets apply in layers: 10 percent on the first $12,400, 12 percent from there to $50,400, and 22 percent on the remainder. That comes to $1,240 plus $4,560 plus $9,570, or $15,370 of federal tax.

Two different rates describe that, and the difference matters. His marginal rate is 22 percent, meaning 22 cents of the next dollar he earns goes to tax. His effective rate is $15,370 divided by $110,000, about 14.0 percent, which is what he actually pays across all his income. Quick calculations usually multiply the marginal rate by everything and badly overstate the bill. Brackets are layers. Only the top layer is taxed at the top rate.

Now add the $52,000. Gross becomes $162,000, taxable income $145,900, and federal tax $27,614. His marginal rate is now 24 percent and his effective rate about 17.0 percent.

The inheritance therefore costs him $12,244 in additional federal tax each year, roughly 23.5 cents on every inherited dollar, or about $122,400 across the ten years before any state income tax.

Two things follow that are easy to miss. Paul's minimum in year one is small: $520,000 divided by the 34.3-year single life expectancy for a 52-year-old, which is his age in the first distribution year rather than at the death, is about $15,160. A beneficiary who takes only the minimum for nine years walks into a very large final withdrawal in year ten, stacked on top of a full salary. And the same dollars, drawn by Carol herself in retirement, would likely have come out of a lower layer. For a married couple filing jointly in 2026 the 12 percent bracket runs to $100,800 of taxable income. The gap between a parent's 12 percent layer and a child's 24 percent layer is the whole argument, and it is a reason people look at conversions and at withdrawal timing well before any of this is urgent.

The backup nobody fills in

A contingent beneficiary is the backup. It receives the account if the primary has already died, cannot be found, or dies at the same time you do. Leaving it blank is the single most common finding when people actually pull their forms, and it drops you straight back into the estate scenario above.

While you are looking, there is one more question worth asking each institution: how does this form treat a beneficiary who dies before me? Some forms pass a deceased child's share to that child's own children. Others divide it among the surviving named beneficiaries. Those produce entirely different outcomes for your grandchildren, and whichever the form does by default is what happens when the box is left unchecked.

Making sure somebody can act

Everything above is about who receives the money after you die. There is a separate and much duller question: who can act on these accounts while you are alive but unavailable.

Unavailable covers a lot of ordinary ground. A hip replacement and six weeks in rehab. A hospital stay after a car accident. Two months out of the country. In all of them the accounts keep running, distributions keep coming due, premiums keep needing to be paid, and a custodian will not take instructions from your spouse or your son because they are not on the account.

Three pieces of paper address that, and none of them says anything about you except that you would like your money handled properly if you cannot get to the phone.

A durable power of attorney. A document, governed by your state's law, naming someone who can act on financial matters on your behalf. Durable means it remains effective if you become unable to act yourself. Many custodians also maintain their own power-of-attorney form and will want that one on file alongside the legal document. That is worth confirming in advance rather than discovering during a hospital stay.

A trusted contact at each custodian. Brokerage firms are required to make reasonable efforts to obtain the name of a trusted contact person, age 18 or older, for your account (FINRA Rule 4512). That person cannot trade, cannot withdraw, and cannot see your balances. The firm may contact them to confirm your whereabouts, to ask about your health status, to identify anyone holding a power of attorney, and to address a possible attempt to take money from your account. It is a phone number the firm can dial when something looks wrong. There is no cost to naming one, and declining to name one cannot stop you from opening or keeping an account.

A written list of where everything is. Every institution, every account number, every insurance policy and contract, every advisor, and where the documents are kept. This sounds trivial and is not. When a survivor cannot find an account, that account does not get administered, deadlines get missed, and small accounts sometimes get turned over to the state as unclaimed property. A family that cannot find the money cannot inherit it on time.

This is also the strongest practical argument for consolidating old accounts, better than any argument about fees or tidiness. Four scattered accounts are four beneficiary forms, four sets of default rules, and four institutions your spouse has never spoken to. Consolidation is not automatically right, and there are real reasons not to move certain accounts, but the succession question belongs in that conversation.

Where this leaves you

Nothing in this chapter is a recommendation, and none of it can be, because the right answer depends on documents this book has never seen.

What is worth knowing is this. The beneficiary form beats the will, and it beats a divorce decree. The federal spousal protection on a workplace plan does not travel with a rollover into an IRA. The ten-year rule now carries an annual distribution requirement for many beneficiaries, one that was waived for four years and is enforced today. The minor-child exception is age 21 and does not cover grandchildren. And an account with no living designated beneficiary can cost a surviving spouse a rollover option that is difficult and uncertain to get back.

Any of those, on its own, is a reason to pull your actual forms and read them. Together they are a reason to sit down with somebody who can look at all of it at once, alongside your tax picture, your withdrawal plan, and your spouse's situation, because these pieces interact and they are almost impossible to see one at a time.

If you would like a clear view of how your accounts, your designations, and your distributions fit together, the Retirement Double Check is a place to start. Reach out to whoever gave you this book. Whatever you decide afterward is still yours to decide, and it should be decided with a licensed professional looking at your real documents.

Mistake 4 covers the tax bill building inside these same accounts while you are alive, and Mistake 6 covers the accounts you stopped thinking about, which is usually where the stale forms turn out to be.

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Mistake 6. The Accounts You Stopped Thinking About

What your accounts actually cost you every year, and how to find the ones you lost track of.

You built these accounts one paycheck at a time. Thirty years, sometimes forty, of money that left before it ever reached your hands. You gave it up when it would have been easier not to.

This chapter is about two ways that money leaves you without your ever deciding anything.

The first is a cost you agreed to once, probably without reading it, and have paid every year since. It is deducted before the number on your statement is printed, which is why you have never seen it. It is not large in any single year. It is the largest recoverable number in this book.

The second is simpler and worse. An account nobody can find. Not stolen, not lost in a market. Sitting exactly where you left it, at an employer since acquired twice, under a recordkeeper whose name you have never heard, at a mailing address you left in 2009.

If you are somewhere between 59 and 70, your savings are probably spread across a couple of old 401(k)s, maybe a 403(b) or a 457 from public work, a Thrift Savings Plan account, a rollover IRA opened during a job change, and savings outside all of it. The system scattered it there and gave you no single page on which to see it. This chapter is about getting that page. Everything here is educational. It is not advice and not a recommendation to move anything.

What You Are Actually Paying

The Government Accountability Office studied this and found that 41 percent of 401(k) participants believe they pay no plan fees at all. Another 45 percent, handed their own plan's disclosure documents, could not use them to work out what an investment was costing them (GAO-21-357, 2021).

That is not a reading problem. It is a design problem.

There are generally four layers of cost on a retirement account. The investment expense ratio, charged by every fund as a percentage of the money invested in it and subtracted from the fund's return before you ever see a number. That is precisely why it is invisible. Plan administration and recordkeeping, which some employers pay and others take out of participant accounts. Individual service fees, charged only if you use the service. And an advisory or management fee, if someone manages the account for you, which sits on top of all three.

If your money is in a 401(k) or most 403(b) plans, federal law is on your side. Under the Department of Labor's participant disclosure rule, your plan must send you an annual disclosure describing the plan's fees and the expense ratio of every investment option, and at least quarterly a statement of the actual dollars deducted from your account and what each charge was for (29 CFR 2550.404a-5). Governmental plans, including most 457(b) plans and the Thrift Savings Plan, are not covered, and neither are church plans, though the TSP publishes its costs openly. An IRA is not covered either. There the cost information lives in each fund's prospectus and in the custodian's or advisor's fee schedule, and you have to ask.

A request that works almost everywhere: please send me my most recent annual fee disclosure, my last quarterly statement showing the actual dollars deducted from my account, and the expense ratio of every fund I currently hold.

One more thing, before the arithmetic. This chapter is about fees, and it appears in a book given to you free of charge by a professional who is paid for their work. The front of this book discloses that commissions and other compensation exist in this business. They do. Asking any professional a direct question about it is fair and routine: how are you compensated, does the amount change depending on what I buy or where I move my money, and will you put the answer in writing.

Why a Small Number Becomes a Large One

You do not just lose the fee. You lose everything the fee would have earned for the rest of your life.

An illustration, using hypothetical numbers. Suppose you have $650,000 invested and you leave it alone for twenty years, taking nothing out. Assume the underlying investments return 6 percent a year before costs. That 6 percent is chosen to make the arithmetic legible. It is not a projection and not a promise.

At an all-in cost of 1.00 percent a year, your net return is 5.00 percent and $650,000 grows to about $1,725,000. At an all-in cost of 0.15 percent, your net return is 5.85 percent and the same $650,000 grows to about $2,026,000.

The gap is approximately $302,000.

Now look at what the difference actually was. Eighty-five hundredths of one percent. In the first year, on $650,000, that is $5,525.

Here is the part that surprises people. Across the twenty years, the higher-cost account pays about $215,000 in fees and the lower-cost account about $35,000. The difference in fees actually paid is roughly $180,000. But the difference in what you end up with is roughly $302,000. The extra $122,000 is not a fee anyone charged you. It is the growth on the fees, money taken out early and therefore not there to compound.

Fees do not add up. They compound, in the wrong direction.

The Honest Version of That Number

Three caveats, because a fee chapter that overstates its case is worse than none.

The illustration assumes you never withdraw anything, which is not what retirement looks like. Run it again with $26,000 a year coming out and the gap falls to about $220,000. Smaller. Still the largest single recoverable number most readers of this book will find.

The fee levels show the mechanism, not your account. The Investment Company Institute reported that in 2024, 401(k) participants invested in equity mutual funds paid an asset-weighted average expense ratio of 0.26 percent, and target date funds in 401(k) plans averaged 0.29 percent. Large employer plans are frequently among the cheapest places a person's money can sit, and the Thrift Savings Plan is cheaper still. An all-in cost near 1 percent usually requires layering: an advisory fee stacked on funds that already charge, an older or smaller plan, or a product with costs built into it. You may already be at 0.30 percent. The only way to know is to read the disclosure.

And a lower fee is not automatically the better account. Cost is one input. Distribution flexibility and tax features matter too, and a later section of this chapter weighs them together.

The Account Nobody Can Find

Capitalize, working with the Center for Retirement Research at Boston College, estimated that as of July 2025 there were about 31.9 million forgotten or left-behind 401(k) accounts in the United States, holding roughly $2.1 trillion, at an average balance of about $66,700.

Some of that belongs to people reading this. It happens for ordinary reasons. An employer is acquired and the plan moves to a recordkeeper you have never heard of. You moved and the statements stopped arriving. A plan was terminated and the assets were transferred into an IRA opened in your name that you never asked for.

That last one deserves a sentence of its own. If your vested balance was $7,000 or less when you left, the plan may have been permitted to move you out without your consent: balances above $1,000 generally into an IRA established for you, and balances of $1,000 or less paid out in cash. The $7,000 threshold took effect in 2024, and it is an option a plan may adopt rather than a requirement.

If you think an account is out there, work in this order. Old W-2 forms show retirement plan participation, and any old statement names the recordkeeper. The former employer's benefits department is the fastest route if the company still exists.

The Department of Labor's Retirement Savings Lost and Found launched in December 2024, though it covers private-sector plans only and at present holds information only for people age 65 and older. If the employer is gone, the Department of Labor's Abandoned Plan Search and the EFAST2 Form 5500 search name the plan's administrator and service providers for filings from 2009 forward. Then check the unclaimed property office in your state and in every state you have lived in.

Consolidation Is a Succession Question

The usual argument for consolidating accounts is that you have too many statements. That argument is not worth your time. Here is the real one.

At some point, someone other than you is going to have to administer this money. A surviving spouse who has never logged into any of it. An adult child holding a power of attorney, working from a kitchen table, in a week when they are not thinking clearly. That person cannot claim an account they cannot find. They cannot roll over a 403(b) at a hospital system that was acquired in 2011 if there is no statement in the file and no login anywhere.

The scattering that was merely inconvenient while you were healthy becomes the thing that loses the money.

A milder version of the same problem bites while you are still here. Required minimum distributions begin at 73 for people born in 1951 through 1959, and at 75 for people born in 1960 or later. Your IRAs aggregate for those distributions, meaning you calculate each one but can take the whole amount from any of them, and your 403(b) contracts aggregate among themselves. Your 401(k) and 457(b) accounts do not aggregate at all. Each has to be calculated and taken separately, every year. The excise tax on a missed distribution is 25 percent of the amount you should have taken, reduced to 10 percent if corrected inside the two-year window. Six accounts is six chances to miss one.

The document that solves most of this is one page. Every retirement account you and your spouse own, and for each one: the type, whether it is traditional or Roth, the institution, the approximate balance, the total annual cost in percent and in dollars, the primary and contingent beneficiaries, and the date you last confirmed them. Mistake 5 covers the beneficiary side of that page and who is permitted to act for you if you cannot act for yourself.

Building it takes a few phone calls and two afternoons. It is not sophisticated work. It is simply work nobody has ever asked you to do.

Moving Money Without Losing Any of It

If you do decide to move money, the mechanics matter more than most people are told. Four rules cause nearly all the damage.

Sixty days means sixty calendar days. The IRS states that you have 60 days from the date you receive a distribution to roll it over. The count is calendar days, not business days. Weekends, holidays, and the week you spent in the hospital all go on the clock.

A distribution paid to you carries mandatory 20 percent withholding. The IRS is explicit: "A retirement plan distribution paid to you is subject to mandatory withholding of 20%, even if you intend to roll it over later." And then: "If you later roll the distribution over within 60 days, you must use other funds to make up for the amount withheld."

IRA-to-IRA rollovers are limited to one in any 12-month period. That limit does not apply to trustee-to-trustee transfers, to conversions from a traditional IRA to a Roth, or to plan-to-IRA, IRA-to-plan, and plan-to-plan rollovers.

A trustee-to-trustee transfer avoids all three. The money moves directly from one institution to the other and never passes through your hands. There is no 60-day clock, no mandatory withholding, and no once-per-year limit.

What a Blown Rollover Actually Costs

Frank and Denise are invented, and so are their numbers. Frank is 63, Denise is 61, they file jointly, and their 2026 income apart from what follows is $70,000.

Two terms first, because the confusion between them is expensive. Your **marginal rate** is the rate on your next dollar of income. Your **effective rate** is your total tax divided by your total income. They are almost never the same number, and quoting the marginal rate as though it applied to everything is the most common way retirement math gets overstated.

Frank asks his old employer's plan to send him his $200,000 so he can move it to an IRA himself. The plan withholds 20 percent and sends a check for $160,000. To complete the rollover he now has to deposit the full $200,000 within 60 calendar days, finding the missing $40,000 from his own savings. The sale of a car takes longer than expected, the deadline passes, and the whole $200,000 is treated as distributed.

On a 2026 joint return, their gross income becomes $270,000. Less the 2026 standard deduction of $32,200, taxable income is $237,800. Bracket by bracket: 10 percent on the first $24,800 is $2,480, 12 percent on the next $76,000 is $9,120, 22 percent on the next $110,600 is $24,332, and 24 percent on the last $26,400 is $6,336. Total federal tax, $42,268.

Without the mistake, on $70,000 of income, they would have owed $4,040. So the error costs about $38,200, which is roughly 19 percent of the $200,000. Note what those numbers are not. Their marginal rate is 24 percent. Their effective rate across all their income is about 16 percent. The rate on the distributed dollars themselves is about 19 percent. Multiplying

$200,000 by the 24 percent bracket would have produced $48,000 and overstated the damage by almost $10,000, which is exactly how retirement math usually gets quoted.

Frank is 63, so there is no early withdrawal penalty. State income tax, where it applies, comes on top.

Two details almost nobody is told. The $40,000 the plan withheld is not the tax. It is a prepayment, credited against their 2026 bill, and a good deal of it comes back as a refund the following spring, into their checking account rather than into the retirement account. And the $200,000 has left the retirement system for good: at the 2026 IRA contribution limit of $7,500 plus a catch-up for those 50 and over, putting it back would take more than twenty years.

All of it disappears if the money moves trustee to trustee and never touches your hands.

> *### Read this twice if you own employer stock If one of your retirement accounts holds shares of your employer's stock that have appreciated, there is a provision in the tax code you can use only from inside the plan. In a qualifying lump sum distribution you can move the shares in kind to a taxable account, pay ordinary income tax only on the original cost basis, and have the appreciation taxed at long-term capital gains rates when you sell. This is Net Unrealized Appreciation, under IRC 402(e)(4). Roll those same shares into an IRA and the election is gone permanently. The IRS says so plainly: if you roll over a payment that includes employer stock, "the special rule*

> *relating to the distributed employer stock won't apply to any later payments from the IRA." The rules are strict, the distribution has to meet the lump sum definition, and it does not always come out ahead. But for the minority of readers it touches, it is worth a great deal of money, it cannot be undone, and it has to be looked at before anything moves rather than after.*

Three Honest Reasons Not to Roll Anything

Most material on this subject treats "consolidate it all into an IRA" as the obvious answer. It is sometimes right and sometimes expensive. Here is the other side.

The age 55 exception. If you separate from service in or after the year you turn 55, you can take distributions from that employer's plan without the 10 percent early withdrawal tax. For qualifying public safety employees the age is 50. The IRS is explicit that this applies to qualified plans other than IRAs. Roll the money to an IRA at 56 and you have given up penalty-free access until 59 and a half.

Institutional pricing. Large plans buy institutional share classes at prices retail investors usually cannot get on their own, and the Thrift Savings Plan is cheaper than almost anything you could buy retail. Moving out of a genuinely cheap plan into a retail IRA can raise your ongoing cost even when nothing else changes. That is the arithmetic from the first half of this chapter, running the other way.

Plan loans. While you are still employed, most plans let you borrow the lesser of $50,000 or half your vested balance. An IRA cannot make a loan of any kind. This caveat cuts both ways: most plans do not permit loans after you separate, so if you have already left, you may have lost it regardless.

There are real reasons on the other side too. A narrow or expensive plan menu. Required distributions that become simpler to administer. Qualified charitable distributions, available from IRAs and not from a 401(k). Old plans that force an all-or-nothing lump sum. The point is not that one answer is right. It is that the comparison exists and almost nobody is shown it.

Where That Leaves You

Three things worth carrying out of this chapter.

The cost you pay every year is knowable, and you are entitled to be told it in dollars. Most people have never asked. The disclosure already exists for employer plans, and for an IRA you can request the fee schedule.

The reason to gather your accounts into fewer places is not tidiness. It is that someone who is not you will one day have to find all of it, in a week when they are not at their best.

And the one most people do not know: the difference between a check made out to you and a transfer sent directly between institutions is the difference between a routine administrative event and a permanent, irreparable tax bill. Same money, same destination, same week. Different outcome.

None of this tells you what to do with your own accounts, and this book cannot. What it can tell you is that several of these decisions have one-way doors in them. The employer stock election, the 60-day window, the age 55 exception. Once closed, they do not reopen.

If you would like help building the one-page inventory, reading what your own disclosures actually say, and seeing the cost comparison side by side before anything moves, a Retirement Double Check is a reasonable place to start that conversation.

Frank and Denise are hypothetical, and their figures are illustrative. They do not represent any real person or predict any outcome. Sources used in this chapter: U.S. Government Accountability Office, GAO-21-357 (2021); 29 CFR 2550.404a-5; Investment Company Institute expense ratio research published 2025 using 2024 data; IRS, "Rollovers of Retirement Plan and IRA Distributions" (60-day rule, mandatory 20 percent withholding, one-rollover-per-12-months limit); IRS Topic No. 558 (age 55 separation exception, public safety employees at 50); IRC 402(e)(4) and IRS section 402(f) safe harbor explanations (net unrealized appreciation); IRS Retirement Plan and IRA Required Minimum Distribution FAQs (aggregation rules, 25 percent excise tax reduced to 10 percent); IRS Rev. Proc. 2025-32 (2026 standard deduction of $32,200 married filing jointly and the 2026 joint brackets); IRS 2026 contribution limit release; Capitalize with the

Center for Retirement Research at Boston College, "The True Cost of Forgotten 401(k) Accounts," September 2025, data as of July 2025; U.S. Department of Labor, Retirement Savings Lost and Found, Abandoned Plan Search, and EFAST2. Figures are current as of 2026 and are subject to change.

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Mistake 7. The Asset You Spent a Lifetime Earning

How to get this decision right, and what is still open to you if you have already claimed.

If you or your spouse have not claimed Social Security yet, this may be the most valuable chapter in this book. The decision in front of you is worth more, in dollars, than most of the account decisions in the chapters before it, and unlike most of them it is free to get right.

If you have already claimed, go to the last section, **If You Have Already Claimed**. Two doors may still be open to you, and a third one, the survivor decision, stays open regardless of what was filed and when. There is no value in reading twenty pages about a choice you cannot revisit, so skip ahead.

For everyone else, here is the chapter.

The largest asset you own is probably not in an account

You spent a working life funding this. Every paycheck for thirty or forty years carried a Social Security tax, and every one of those years went into a record kept in your name. It is the longest-running deposit you ever made, and the one asset most people never think of as an asset, because it does not appear on a statement and nobody sends you a performance report on it.

Look at what it actually is. A monthly payment that continues for as long as you live. Adjusted each year for inflation under the cost-of-living rules in the Social Security Act, so its purchasing power is designed to hold up over a long retirement. It does not fall when the market falls.

Put a rough size on it. A benefit of $2,800 a month is $33,600 a year. To produce $33,600 a year from a portfolio, with inflation increases on top, the familiar four percent starting withdrawal puts the money required somewhere near $840,000. That yardstick is a planning convention rather than a promise, and recent work has pushed the sustainable figure lower rather than higher. The point is not precision. It is scale. For a household with $400,000 to $900,000 saved, the benefit stream is very likely worth more than everything in the accounts, and it carries no market risk.

That is the asset. The rest of this chapter is about how much of it you actually keep.

The dial you are turning

Two terms first, because everything else depends on them.

Your **primary insurance amount**, or PIA, is the monthly benefit you would receive at your full retirement age. It is calculated from your highest 35 years of indexed earnings. Your **full retirement age**, or FRA, is 67 if you were born in 1960 or later, and 66 and some number of months if you were born between 1955 and 1959.

Claiming age moves the payment permanently. Social Security's own program manual sets out the arithmetic:

AGE YOU CLAIM	WHAT YOU RECEIVE, AS A SHARE OF PIA
62	70 percent
65	86.7 percent
67 (full retirement age)	100 percent
68	108 percent
70	124 percent

Both the reduction for claiming early and the increase for claiming late are permanent. Waiting past full retirement age earns what Social Security calls delayed retirement credits, worth 8 percent a year for anyone born after January 1, 1943. They stop accruing at 70, so there is nothing to gain by waiting past that birthday. Every future cost-of-living adjustment is then applied to whichever number you locked in, so a larger base compounds a larger increase for the rest of your life.

That is a 77 percent difference between the smallest and largest version of the same benefit. On a $2,800 PIA it is $1,960 a month at 62 against $3,472 a month at 70, or $23,520 a year against $41,664.

The part that is about two lives

Here is the piece that almost never makes it into the conversation, and it is the reason this chapter exists.

When one spouse dies, the survivor does not keep both Social Security checks. The survivor keeps the larger of the two and loses the smaller one entirely. Household income falls, and it falls permanently.

So the higher earner's claiming decision is not really about the higher earner. It sets the floor under the survivor's income for the rest of the survivor's life, and that life may run fifteen or twenty years past the first death.

Three rules govern how much floor there is.

A survivor benefit at the survivor's own full retirement age is 100 percent of what the deceased was receiving, including any delayed retirement credits they earned. Waiting does not just buy a bigger check for the person who waited. It buys a bigger check for the person left behind.

A survivor benefit claimed before the survivor's full retirement age is reduced. It can be claimed as early as age 60, and at that age the reduction reaches its maximum of 28.5 percent, which leaves 71.5 percent of the full amount.

If the deceased had claimed early, the survivor's benefit is capped. Social Security calls this the RIB-LIM. The survivor receives the larger of two figures: the reduced amount the deceased was actually receiving, or 82.5 percent of the deceased's PIA. So an early claim by the higher earner is stamped onto the survivor's check, softened slightly by that 82.5 percent floor, and there is no way to repair it afterward. Survivor benefits do not earn delayed retirement credits of their own.

One decision. Two lives. That is the whole argument of this chapter.

What it looks like with numbers

Arthur and Marie are hypothetical people, invented to show the arithmetic. The figures are federal only and assume current rules held constant.

Both are 62. Arthur was the higher earner, with a PIA of $2,800 a month. Marie's PIA is $1,400. Both have a full retirement age of 67. They have roughly $700,000 across a rollover IRA, an old 403(b) Marie never moved, and a joint brokerage account. No pension. In both versions below, Marie claims her own benefit at 67, so the only thing that changes is when Arthur claims.

Version A. Arthur claims at 62. He receives $1,960 a month. Once Marie claims at 67, the household has $3,360 a month, or $40,320 a year.

Version B. Arthur waits until 70. He receives $3,472 a month. With Marie's $1,400, the household has $4,872 a month, or $58,464 a year.

While both are alive, Version B is $18,144 a year better. Now suppose Arthur dies first, which is the more common order.

In Version A, Marie's survivor benefit is the larger of $1,960 or 82.5 percent of his $2,800 PIA, which is $2,310. She receives $2,310 a month, $27,720 a year, and her own $1,400 stops mattering because she receives the higher amount rather than both.

In Version B, Marie receives the full $3,472 a month that Arthur was receiving, $41,664 a year.

The gap in her income, for the rest of her life, is $1,162 a month. That is $13,944 a year. Across a fifteen-year widowhood, in today's dollars and before any cost-of-living increases compound on the larger figure, it is roughly $209,000.

What that does to her tax return

The income difference is the headline. There is a tax difference underneath it, worth walking through partly because the mechanism surprises people and partly because it is smaller than most expect.

Two definitions first. Your **marginal rate** is the rate on your next dollar of income. Your **effective rate** is what you actually paid across the whole return. They are almost never the same number, and confusing the two is the most common error in retirement tax arithmetic.

Marie is 76 by then and files as a single taxpayer, which is what a surviving spouse generally does from the year after the death onward. In 2026 her standard deduction is $16,100 plus $2,050 because she is over 65, and she can also take the temporary senior deduction of $6,000 available for tax years 2025 through 2028. Call it $24,150 of deductions.

Version A. She receives $27,720 of Social Security and withdraws $30,000 from the IRA to cover her spending, so $57,720 in all. How much of the Social Security is taxable depends on provisional income, which is her other income plus half her benefits: $30,000 plus $13,860, or $43,860. That puts $12,881 of her benefit into the taxable column. Her adjusted gross income is $42,881. Subtract $24,150 and her taxable income is $18,731. She pays 10 percent on the first $12,400, which is $1,240, and 12 percent on the remaining $6,331, which is $760. Total federal tax, about $2,000.

Her effective rate on the $57,720 she actually received is 3.5 percent. Her marginal rate is not 12 percent. Each additional dollar she withdraws also drags 85 cents of Social Security into the taxable column, so her true marginal rate on the next dollar is about 22.2 percent. That effect has a name, the tax torpedo, and Mistake 4, on the tax bill you are building, covers it properly.

Version B. She receives $41,664 of Social Security and only needs $16,000 from the IRA, because the larger benefit is doing the work. Provisional income is $36,832, which puts

$6,907 of the benefit into the taxable column. Adjusted gross income is $22,907, below her $24,150 of deductions. Taxable income is zero. Federal tax, zero.

Nearly the same money in her pocket. Two thousand dollars of tax in one version and none in the other. But notice the number that matters more: the portfolio draw is $30,000 a year in Version A and $16,000 in Version B. The tax saving is real and it is small. The withdrawal she does not have to take is what decides whether the money lasts.

The honest cost of waiting

Waiting is not free, and any presentation that skips this part is selling something.

If Arthur waits from 62 to 70, he gives up $1,960 a month for 96 months. That is $188,160 of benefits he will never collect, and in most households the spending it would have covered comes out of savings instead. On the simplest arithmetic, ignoring investment returns entirely, the two versions cross somewhere around age 80 or 81 for Arthur himself. If he dies at 72, Version A was the better decision for him, and no amount of planning could have known that in advance.

What the break-even calculation leaves out is Marie. It measures one life when the decision governs two. That is the whole reason the standard break-even chart, which almost every retiree has seen, tends to point in a different direction than the survivor arithmetic does.

There are real reasons the answer comes out the other way for some households. A significant health condition in the higher earner changes the calculation materially. A single person with no former spouse of ten years or more is running a one-life decision, and the survivor argument does not apply at all.

A portfolio too small to bridge is its own answer: drawing $70,000 a year from $650,000 to cover a delay is a withdrawal rate near 11 percent, and a poor first few years of returns at that rate can do damage no later decision undoes, which is what Mistake 1, on the first five years, is about. And needing the money now is a legitimate answer that requires no defense.

One mechanical detail belongs here too. If you claim before full retirement age and keep working, the earnings test applies. In 2026, Social Security withholds $1 of benefit for every $2 you earn above $24,480, and in the year you reach full retirement age, $1 for every $3 above $65,160, counting only the months before that birthday. Those withheld months are not simply lost. At full retirement age Social Security adjusts your reduction factor to credit the months in which benefits were withheld, which raises the payment from that point on. Many people who claimed early while still working never learn that recalculation happened.

The pension election, which is the same decision with a shorter fuse

If you have a pension from an employer, a union, or a state or municipal plan, you face a second version of this decision. It arrives as a form with several options and a deadline, and it is less forgiving than the Social Security choice.

Under federal law, the default for a married participant is the option that keeps paying after you are gone. It pays less each month while you are both alive, and then continues to your surviving spouse for the rest of their life, at somewhere between 50 and 100 percent of that amount. The other option pays you more every single month and pays nothing to anyone once you die.

Your paperwork will not put it that plainly. It will call the first one the qualified joint and survivor option, so that is the wording to look for on the form. Three things are worth knowing before it arrives.

Your spouse has to consent in writing to give up the survivor benefit. The Internal Revenue Code requires that the consent acknowledge the effect of the election and be witnessed by a plan representative or a notary public. It exists because the survivor is the person with the most at stake and the least say.

The window closes when payments begin. The election period is the 180 days ending on the date the first payment is due. After payments begin, the choice is generally locked for good.

Getting it wrong is a total loss for the survivor. If a participant elects single life for the larger check and dies first, the survivor's pension is zero, permanently, with no equivalent of Social Security's 82.5 percent floor to catch it.

Two related points. Most private pensions carry no inflation adjustment, so a fixed pension buys progressively less across a twenty-year retirement, which is not true of Social Security. And there is a well-known approach that takes the single-life option and uses the difference to buy life insurance on the participant. It has real arithmetic behind it, and it fails badly if the policy ever lapses or if the participant's health makes the coverage expensive. It is worth evaluating with actual numbers rather than accepting or dismissing on principle.

If You Have Already Claimed

If the paperwork is already filed, you may still have more options than you were told. Three of them.

Door one: withdrawing the application. Social Security allows you to withdraw an application for retirement benefits and be treated as if you had never filed. The conditions are strict. You must be within 12 months of your date of entitlement. You may do it only once in your lifetime. You must repay all benefits paid on your record, including anything a spouse received on it, along with Medicare premiums and any tax withheld. And anyone whose entitlement is canceled by your withdrawal has to consent in writing. If any of those conditions fails, the request is denied. It is a written request, on Social Security's form for that purpose. If you claimed within the last year and have since learned something you did not know, this door is open and it does close.

Door two: voluntary suspension. Once you reach full retirement age, you can ask Social Security to suspend your benefit. Suspension can run from the month you reach full retirement age up to age 70, and months of suspension earn delayed retirement credits at the same 8 percent a year, which means the benefit you restart is permanently larger and the survivor benefit built on it is permanently larger too. This is the only remedy available after that first 12 months has passed.

There are two costs to weigh. Under the rules in effect since April 2016, no auxiliary benefits can be paid on your record while your benefit is suspended, with the narrow exception of a divorced spouse. A spouse drawing on your record loses that payment for the same stretch. And if your Medicare premiums were being deducted from the benefit, there is no longer a payment to deduct them from, so they have to be handled another way.

Door three: the survivor decision, which is open regardless. If you are already widowed, there is a rule most people have never heard. Social Security's deemed filing rules require someone born on or after January 2, 1954, who claims a retirement benefit, to also claim any spousal benefit they qualify for at the same time. Survivor benefits are excluded from that rule. A widow or widower can claim a survivor benefit and leave their own retirement benefit alone to keep growing to 70, or claim their own first and switch to the survivor benefit later, depending on which record is larger and which will grow more. Two benefits, two separate timing decisions, and the order matters.

And if you are married and one spouse has claimed while the other has not, the half of the decision that matters most may still be entirely open. The survivor's floor is set by the higher earner's benefit. If that is the spouse who has not filed yet, nothing about this chapter is behind you.

Where this leaves you

You funded this across a working life. Nobody gave it to you.

Here is a factor that matters and is easy to miss. The claiming decision is almost always presented as a question about your own life expectancy, and it is not. It is a question about two lives, and about which of you is likely to be sitting alone with a single check and a portfolio that has to last. The benefit that sets the survivor's floor is the higher earner's, not the household's, and couples usually make that choice together as though it were one decision about both of them.

Here is something you may not know. Even after the paperwork is filed, a withdrawal within 12 months or a suspension at full retirement age can still change the number, and a widow or widower has two separate timing decisions rather than one. Those are not obscure loopholes. They are published rules that simply do not come up in ordinary conversation.

This decision also interacts with almost everything else. The years before you claim are the low-income years that make room for Roth conversions, so Mistake 4 and this one compete for the same window. If you retire before 65, those same years also determine what your health insurance costs, which is Mistake 3. And if you delay, the portfolio has to carry the bridge.

Those are more moving parts than a book can resolve for you. It is the kind of question worth putting in front of someone who can see your earnings record, your account balances, your pension paperwork, and your spouse's record at the same time. If you want to look at your own numbers rather than at Arthur and Marie's, the person who gave you this book can arrange a Retirement Double Check. Bring your Social Security statement, which you can download from the my Social Security account at ssa.gov, your spouse's statement, and any pension election paperwork.

You have already earned this. What is left is deciding how much of it you keep.

Where these figures come from. All Social Security rules and figures are from the Social Security Administration's published program manual at ssa.gov: claiming percentages and full retirement ages, RS 00615.105; delayed retirement credits and their accrual during suspension, RS 00615.690 and RS 00615.692; survivor percentages and the 28.5 percent maximum reduction, RS 00615.301; the RIB-LIM cap and the 82.5 percent floor, RS 00615.320; withdrawal of an application, GN 00206.005 (requirements) and GN 00206.014 (processing); voluntary suspension, GN 02409.100; deemed filing and the survivor exclusion, GN 00204.035; the 2026 earnings test amounts, RS 02501.021 and RS 02501.025; adjustment of the reduction factor, RS 00615.482. Pension survivor benefits, spousal consent and the 180-day election period, Internal Revenue Code section 417. Taxation of benefits, Internal Revenue Code section 86. Brackets, standard deduction and the temporary senior deduction for 2026, Internal Revenue Service.

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Mistake 7 1/2. The Questions This Book Cannot Answer

Reading all of this, and then doing nothing with it.

If you have read the whole book, you now understand more about how retirement accounts actually behave than most people ever will.

If you turned straight to this page, that is fine too. Here is where you are. You are somewhere between 59 and 70. You have money in more than one place, because almost everyone does by this point: a 401(k) at the job you are leaving or have left, a 403(b) if you taught or worked at a hospital or a nonprofit, a 457 plan if you worked for a city or a county, a Thrift Savings Plan if you were federal, an IRA or a rollover IRA holding what became of a plan from an employer you barely think about anymore, some savings outside all of that, and possibly a pension with an election attached to it. You have somewhere between a few hundred thousand and a bit over a million dollars across those accounts. You own a home you probably do not count.

That puts you in a specific and badly served position. You have too much saved for the programs that catch people who saved nothing, and not enough to shrug off a long-term care event, a bad decade in the market, or a tax bill you did not see coming.

There is a seventh-and-a-half mistake, and this chapter is it.

It is the only one in the book that is not built into the rules. The other seven are traps in the machinery: a calendar, a threshold written into a statute decades ago and never adjusted since, a form filled in at a new-hire orientation, a window that opens once. They are running whether you know about them or not.

The half is different. It is reading all of this, recognizing two or three of them in your own situation, closing the book, and letting another year go by. That is why it is a half rather than a whole. Nothing is taken from you, and no rule catches you. It is the only mistake in this book that costs nothing at all to avoid, and the only one whose deadline is borrowed from the other seven.

So this chapter is about the one thing a book cannot do for you, and how to get that done.

First, One Thing That Needs Saying Plainly

None of the seven risks in this book are your fault.

That is not a courtesy. Look at where each of them actually comes from.

The first is arithmetic and a calendar. A loss and the gain required to undo it are not the same number, and every projection you have ever been handed is built on an average return, which by construction hides the order the returns arrived in. Nobody hid that from you. The math simply does not appear on a statement.

The second is that the largest bill this household could ever face, a long-term care event, is paid for in this country mostly by a means-tested program with federal rules, state variation, and protections for the spouse who stays home that are real but are written for a caseworker to apply, not for you to find.

The third is a set of dated doors. An income cliff in the health insurance marketplace returned on January 1, 2026, when the enhanced premium credits expired, so one dollar of extra income can now cost a couple in their early sixties their entire credit. Medicare adds a penalty of 10 percent of the Part B premium for each full 12-month period you could have signed up and did not, and for most people that penalty is permanent, added to a standard premium of $202.90 a month in 2026. COBRA and retiree coverage do not protect you from it. And the six-month window in which an insurer cannot refuse you a Medicare supplement policy or charge you more because of your health history starts the first month you are 65 and enrolled in Part B, happens once, and does not repeat.

The fourth is a set of numbers frozen in a statute. Whether your Social Security benefits get taxed turns on thresholds of $25,000 and $32,000, and then $34,000 and $44,000, which were written into law decades ago and have never been indexed to inflation. Meanwhile the age at which withdrawals from your traditional accounts stop being optional is 73 for people born in 1951 through 1959, and 75 for people born in 1960 or later, a line that runs straight through the middle of this audience and that has been moved more than once in recent years.

The fifth is a piece of paper. The beneficiary form you filled out at a new-hire orientation, possibly in the 1990s, controls where that account goes and outranks the will you paid an attorney to write last year. And most people who inherit a retirement account from someone who died after December 31, 2019, have ten years to empty it, with exceptions for a surviving spouse, a minor child, someone disabled or chronically ill, and someone not more than ten years younger than the person who died.

The sixth is that the costs inside an account you have not opened in years are disclosed in a document you were mailed and did not read, because almost nobody reads it, and because the number is expressed as a percentage of something rather than as dollars out of your pocket.

The seventh is that the largest single financial decision most people make, when to claim Social Security and which survivor election to take on it and on a pension, is made once, often quickly, sometimes in a room at a benefits office, and several parts of it become permanent immediately.

Nobody designed that. It accumulated. Different rules were written in different decades by different people solving different problems, and no one was ever responsible for how they would interact inside one household. On top of that, most of what gets explained to you about these accounts is explained by someone who is compensated when you do a particular thing with them, including, to be direct about it, the person who handed you this book.

You saved the money. Across a working life, out of paychecks that had other claims on them. That was the hard part, and you did it. What is left is a set of rules you were never handed.

That is the whole of the seven. The half is the only one of them that was ever in your hands, which is also the good news in it.

What a Book Cannot Do

A book can teach you the mechanism. It cannot run your numbers.

Everything in these pages is general, and it has to be. Two households with the same balance, the same ages, and the same retirement date can face completely opposite right answers. It turns on filing status, state, whether one spouse is still working, what a pension pays and which election is still available on it, how much of the total is pre-tax versus already taxed, when each spouse claims Social Security, who is named on each beneficiary form, and what tax brackets those beneficiaries are in.

That is not a hedge. It is the entire difficulty.

So the useful question is no longer which of these seven happens to people in general. It is which of them are live in your situation right now, which are years away, which do not apply to you at all, and which have a date attached.

That last part is what makes this urgent rather than interesting. Several of the seven have a door that closes on a specific day. The Medicare supplement window opens once. A Social Security claim can be withdrawn within 12 months of your date of entitlement, once in your lifetime, and not after. A pension survivor election is generally irrevocable once payments begin. Those are not things you get to reconsider later at a worse price. They are things you get to do or not do.

The Retirement Double Check

Contact whoever gave you this book and ask them to set up your Retirement Double Check.

Here is what happens, and what you get out of it.

You ask first. Whatever this book raised for you, and whatever it did not. If a chapter made you think about an account you have not opened a statement from in years, or a form you cannot remember filling in, start there. Nothing is too small and nothing is too late to ask.

Then they ask you. A licensed professional will want to understand your situation before saying anything about it. What you have and where it sits. When you plan to stop working, or whether you already have. Who depends on you. What you want the next twenty years to actually look like. None of the questions in this book can be answered well without those details, which is precisely why a book cannot answer them.

Then you look at it together, on the screen. Ask whether they can share their screen, so you are not listening to somebody describe numbers to you. Ask to watch your own numbers while they work. Any figure you want to see, ask to see it. Any version of the question you want run, ask to watch it get run.

They flag what deserves a closer look. Not a verdict and not a recommendation. Which of the seven appear to be live for you right now, which are coming and roughly when, which do not apply to you at all, and which ones have a date attached that does not move.

And they walk you through what addressing any of it would involve. What the steps would be, what order they would happen in, what each would cost you, and what the tradeoffs are on both sides. Whether you do any of it is entirely your call. So is doing none of it.

Ask them to tell you plainly if nothing needs changing. Some people finish this and the honest answer is that they are in good shape and should carry on as they are. That is a real outcome rather than a polite one, and it is worth saying out loud at the start that you want to hear it if it is yours.

Ask what you will be left with when it is over. It should be a document rather than the memory of a conversation. The conversation is how it gets built.

The Retirement Double Check is a written picture of your own situation with the seven risks in this book marked against it: which ones are live for you now, which ones are coming and roughly when, which ones do not apply, and which ones have a deadline. It is built from your actual accounts rather than from a household in a book.

When you set it up, ask how long the conversation runs and have your spouse there if you are married. Two people in the same household reliably remember different halves of the same financial history, and the half your spouse remembers is often the half that changes the answer.

By the end, you should be able to answer these about yourself rather than about retirees in general.

- Where every dollar actually sits. All of it, including the plan you left at a job in the 1990s, and how much of the total is pre-tax money that has never been taxed versus money that already has been.
- What happens to your plan if a bad stretch of market arrives in your first few years of withdrawals, at the rate you are actually planning to withdraw, rather than at an average.
- What a long-term care event would leave for the spouse who does not need care, and where the house sits in that picture.
- If you are not yet 65, what your income has to look like to keep your health insurance affordable between now and then, and which enrollment dates at 65 you cannot miss.
- How much of your Social Security becomes taxable at the withdrawal levels you are planning, and what your first required withdrawal year looks like when it arrives.
- Who is currently named on each beneficiary form, whether that still matches what you want, and whether anyone is authorized to act on these accounts if you are ever unavailable to act on them yourself.
- What you are paying in total, in dollars per year, inside accounts you have not examined in a while.
- If you or your spouse have not claimed Social Security yet, what the claiming and survivor elections look like side by side. If you have already claimed, whether either of the two remedies that survive a claim is still open to you.

Some of that will be reassuring. Some of it will not be. Both are worth knowing now rather than in the year one of them becomes permanent.

What to Bring

Nothing here is graded, and nothing needs to be exact.

- Your most recent tax return. It answers more questions in one page than an hour of conversation does.
- A recent statement for each account, including the ones from old employers.
- Your Social Security estimate. You can pull it yourself from the my Social Security account at ssa.gov.
- Any pension paperwork, particularly anything describing the survivor options.
- A rough monthly number for what you actually spend.
- Whatever you know about who is named as beneficiary on each account, even if the answer is that you do not know.

If several of those are missing, come anyway. Finding the missing pieces is frequently the first useful thing that happens, and "I could not locate the old plan" is itself an answer worth having.

What It Costs, and How the Person Across the Table Is Paid

There is no cost for the Retirement Double Check. It is sponsored by the Retirement Education Network as an educational analysis, and you are not obligated to buy anything.

The person who gave you this book is an independent licensed professional. They are not employed by the Retirement Education Network, and they are responsible for their own advice. If the conversation leads to a recommendation, and if you choose to act on it by purchasing a financial or insurance product, that professional may be paid a commission or other compensation by the company that issues it. You are free to take what you learn to any professional or firm you choose, including ones with no relationship to us. Implementing anything discussed is a separate engagement and may involve fees, products, or services, which they will disclose to you at that time.

Nothing Needs to Change

You may go through all of it and conclude that your accounts are roughly where they should be, your beneficiary forms are current, your withdrawal plan holds up, and no changes are warranted.

That is a legitimate outcome, and it is a common one. It is not a wasted hour. Confirming that a plan works is worth as much as discovering that it does not, and afterwards you will know it because you looked rather than because you assumed.

There will also be readers for whom the honest answer is to leave nearly everything alone and correct one form. If that is your situation, you deserve to hear it said that plainly, and not to be steered past it.

John and Sarah

This book opened with John and Sarah Huber, a hypothetical couple invented to show how a mechanism works. They are not clients and they are not composites of clients. Their numbers were made up.

John was 63 and had taken the buyout in the spring. Sarah was 61 and still teaching two days a week. Between them they had built a little over $800,000 across five accounts, and none of it came from a year in which either of them earned six figures. He had bought a bandsaw he had not learned to use and had been rewriting the same sixty pages of a novel since 2011. She wanted the grandchildren for whole weeks, a proper garden, and more hours at the church. Both of them wanted five weeks through Italy and Spain and France and Germany, the trip they had been describing to each other since they were newly married and had postponed four times for four good reasons.

Then the market fell, and the total that read just above $800,000 in the spring read about $598,000 by the afternoon he finally got his advisor on the phone.

They did not panic and they did not sell, and they are fine. Most of these stories end with people who are fine. What they lost was the six years in the middle, the ones they had already spent in their imaginations. They got to Italy. They did not get to the other three countries, because by then five weeks of walking was not a trip they could take.

The thing worth noticing about John is not that he made a mistake. He did not make one. It is when he first looked. He looked on the morning it was already happening, in a phone call his advisor could not return until the afternoon.

You are reading this on an ordinary day. Nothing is on fire, and there is still time on the calendar. That is the whole difference between his situation and yours, and it is the one advantage that cannot be bought back afterwards.

Contact whoever gave you this book.

Ask them to set up your Retirement Double Check.

John and Sarah Huber, and every other person named in this book, are hypothetical illustrations created to show how these rules behave. They are not real people, and any resemblance to an actual person or situation is coincidental. Dollar figures in their story were invented.

Sources for the figures cited in this chapter: IRS, "Retirement plan and IRA required minimum distributions FAQs" (irs.gov), for the required *beginning age and for the ten-year rule applying to account owners who died after December 31, 2019, including the exceptions; IRS Publication 915, Social Security and Equivalent Railroad Retirement Benefits, for the $25,000 and $32,000 base amounts and the $34,000 and $44,000 second-tier amounts; Medicare.gov, "Avoid late enrollment penalties," for the Part B penalty of 10 percent per full 12-month period and the 2026 standard Part B premium of $202.90; Centers for Medicare and Medicaid Services, "Choosing a Medigap Policy," for the one-time six-month Medigap Open Enrollment Period beginning the first month you have Part B and are 65 or older, during which an insurer cannot use medical underwriting to deny you coverage or charge you more for health problems; Kaiser Family Foundation on the expiration of the enhanced premium tax credits effective January 1, 2026. All figures are current as of August 2026 and are subject to change. Confirm any number here at irs.gov, ssa.gov, medicare.gov, or cms.gov before relying on it.*

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